PRIVATE PLACEMENT MEMORANDUM

CARDONE EQUITY FUND 31, LLC

CONFIDENTIAL

The following comprises confidential information regarding the offering of securities of Cardone Equity Fund 31, LLC, a Delaware limited liability company. This document is intended only for accredited investors. Please do not read further if that does not describe you. Further, please do not disseminate any of the information provided herein or otherwise related to Cardone Equity Fund 31, LLC without the prior written consent of Cardone Equity Fund 31, LLC.

CARDONE EQUITY FUND 31, LLC (THE "FUND") RESERVES THE RIGHT TO REJECT ANY OFFER TO PURCHASE INTERESTS IN THE FUND, IN WHOLE OR IN PART, FOR ANY REASON. THE INFORMATION PROVIDED RELATED TO THE FUND AND THE OFFERING IS NOT TO BE USED, IN WHOLE OR IN PART, FOR ANY OTHER PURPOSE. ANY REPRODUCTION OR DISTRIBUTION OF ANY INFORMATION PROVIDED RELATED TO THE FUND OR ITS PROSPECTS, IN WHOLE OR IN PART, OR THE DISCLOSURE OF ANY SUCH INFORMATION IS PROHIBITED WITHOUT THE PRIOR WRITTEN CONSENT OF THE FUND.

IN MAKING AN INVESTMENT DECISION, PROSPECTIVE INVESTORS MUST RELY ON THEIR OWN EXAMINATION OF THE FUND'S PROSPECTS AND THE TERMS OF THE OFFERING, INCLUDING THE MERITS AND RISKS INVOLVED. THE INTERESTS IN THE FUND HAVE NOT BEEN RECOMMENDED BY ANY FEDERAL, STATE OR FOREIGN SECURITIES COMMISSION OR REGULATORY AUTHORITY. FURTHERMORE, THE FOREGOING AUTHORITIES HAVE NOT REVIEWED OR PASSED ON THE ACCURACY OR ADEQUACY OF ANY INFORMATION PROVIDED ABOUT THE FUND OR THIS OFFERING. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.

NO REPRESENTATION OR WARRANTY, EXPRESS OR IMPLIED, IS MADE BY THE FUND OR ITS MANAGER AS TO THE ACCURACY OR COMPLETENESS OF THE INFORMATION PROVIDED HEREIN, AND NOTHING CONTAINED IN THE INFORMATION IS, OR SHALL BE RELIED UPON AS, A PROMISE OR REPRESENTATION BY THE FUND OR ITS REPRESENTATIVES AS TO THE FUTURE.

THE UNITS OFFERED HEREBY HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, OR THE SECURITIES LAWS OF ANY STATE, AND ARE BEING OFFERED AND SOLD IN RELIANCE ON AN EXEMPTION FROM REGISTRATION UNDER SAID SECURITIES ACT AND SUCH LAWS, AS AN OFFER AND SALE OF SECURITIES THAT DO NOT INVOLVE A PUBLIC OFFERING. THE UNITS ARE SUBJECT TO RESTRICTION ON TRANSFERABILITY AND RESALE AND MAY NOT BE TRANSFERRED OR RESOLD EXCEPT AS PERMITTED UNDER SAID ACT AND SUCH LAWS PURSUANT TO REGISTRATION OR EXEMPTION THEREFROM AND EXCEPT AS OTHERWISE PERMITTED IN ACCORDANCE WITH THE FUND'S OPERATING AGREEMENT.

THERE IS NO PUBLIC MARKET FOR THE UNITS AND THERE ARE NO ASSURANCES THAT A MARKET WILL DEVELOP. EACH PURCHASER OF INTERESTS IN THE FUND OFFERED HEREBY IN MAKING HIS/HER/ITS PURCHASE WILL BE DEEMED TO HAVE MADE CERTAIN ACKNOWLEDGMENTS, REPRESENTATIONS AND AGREEMENTS, INCLUDING BUT NOT LIMITED TO THOSE RELATED TO THE PERSON BEING AN ACCREDITED INVESTOR AS DEFINED IN RULE 501 OF REGULATION D OF THE U.S. SECURITIES AND EXCHANGE

COMMISSION UNLESS THE UNITS ARE REGISTERED, THE UNITS MAY NOT BE OFFERED OR SOLD EXCEPT PURSUANT TO AN EXEMPTION FROM, OR IN A TRANSACTION NOT SUBJECT TO, THE REGISTRATION REQUIREMENTS OF THE SECURITIES ACT AND APPLICABLE STATE SECURITIES LAWS. INVESTORS SHOULD BE AWARE THAT THEY WILL BE REQUIRED TO BEAR THE FINANCIAL RISKS OF THEIR INVESTMENT FOR AN INDEFINITE PERIOD OF TIME.

THE DISTRIBUTION OF CONFIDENTIAL INFORMATION PROVIDED TO POTENTIAL INVESTORS RELATED TO THE FUND AND THE OFFER OR SALE OF THE SECURITIES MAY BE RESTRICTED BY LAW IN CERTAIN JURISDICTIONS. PERSONS INTO WHOSE POSSESSION THE INFORMATION RELATED TO THIS OFFERING OR ANY OF THE SECURITIES MUST INFORM THEMSELVES ABOUT, AND OBSERVE, ANY SUCH RESTRICTIONS. IN PARTICULAR, THERE ARE RESTRICTIONS ON THE DISTRIBUTION OF THE INFORMATION RELATED TO THE FUND AND THE OFFER AND SALE OF THE INTERESTS IN THE UNITED STATES. NEITHER THE FUND NOR ANY OF ITS REPRESENTATIVES IS MAKING ANY REPRESENTATION TO ANY OFFEREE OR PURCHASER OF THE SECURITIES REGARDING THE LEGALITY OF AN INVESTMENT THEREIN BY SUCH OFFEREE OR PURCHASER UNDER APPROPRIATE LEGAL INVESTMENT OR SIMILAR LAWS.

EACH PROSPECTIVE PURCHASER OF THE SECURITIES MUST COMPLY WITH ALL APPLICABLE LAWS AND REGULATIONS IN FORCE IN ANY JURISDICTION IN WHICH IT PURCHASES, OFFERS OR SELLS THE SECURITIES OR POSSESSES OR DISTRIBUTES ANY OF THE INFORMATION RELATED TO THE FUND AND THE OFFERING AND MUST OBTAIN ANY CONSENT, APPROVAL OR PERMISSION REQUIRED BY IT FOR THE PURCHASE, OFFER OR SALE BY IT OF THE SECURITIES UNDER THE LAWS AND REGULATIONS IN FORCE IN ANY JURISDICTION TO WHICH IT IS SUBJECT OR IN WHICH IT MAKES SUCH PURCHASES, OFFERS OR SALES, AND THE FUND SHALL NOT HAVE ANY RESPONSIBILITY THEREFORE.

THE INFORMATION BEING PROVIDED TO PROSPECTIVE INVESTORS DOES NOT CONSTITUTE AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY SECURITIES IN ANY JURISDICTION OR TO ANY PERSON TO THE EXTENT SUCH OFFER OR SOLICITATION IS UNLAWFUL. EXCEPT WHERE OTHERWISE INDICATED, THE MATERIALS PROVIDED SPEAK AS OF THE DATE THEREOF OR IF NOT DATED, THE DATE PROVIDED. NEITHER THE DELIVERY OF THE MATERIALS RELATED TO THE FUND AND THIS OFFERING OR ANY SALE OF SECURITIES SHALL, UNDER ANY CIRCUMSTANCES, CREATE ANY IMPLICATION THAT THERE HAS BEEN NO CHANGE IN THE OPERATIONS OR THE AFFAIRS OF THE FUND SINCE THE DATE ANY SUCH MATERIALS WERE PROVIDED.

NO PERSON HAS BEEN AUTHORIZED TO MAKE ANY REPRESENTATION OR TO GIVE ANY INFORMATION WITH RESPECT TO THE FUND AND THIS OFFERING, EXCEPT THE INFORMATION CONTAINED PROVIDED BY THE MANAGER OR MEMBERS OF ITS MANAGEMENT TEAM. PROSPECTIVE INVESTORS SHOULD NOT RELY ON INFORMATION OTHER THAN THAT PROVIDED TO THEM IN SUCH MANNER.

CERTAIN PROJECTIONS OF OPERATIONS (THE “PROJECTIONS”) PREPARED BY THE FUND ARE INCLUDED IN THE SUPPLEMENTAL INFORMATION PROVIDED. THE PROJECTIONS WERE NOT PREPARED WITH A VIEW TOWARD PUBLIC DISCLOSURE OR COMPLIANCE WITH PUBLISHED GUIDELINES OF THE SEC REGARDING PROJECTIONS OR BEING REVIEWED BY INDEPENDENT ACCOUNTANTS, AND ACCORDINGLY, NO OPINION OR OTHER FORM OF ASSURANCE IS EXPRESSED. IN ADDITION, THE PROJECTIONS WERE BASED ON A NUMBER OF ASSUMPTIONS AND ARE FURTHER SUBJECT TO SIGNIFICANT

UNCERTAINTIES AND CONTINGENCIES, MANY OF WHICH ARE BEYOND THE FUND'S AND ITS MANAGER'S CONTROL. THERE IS NO ASSURANCE THAT THEY WILL BE REALIZED. ACTUAL RESULTS MAY VARY SIGNIFICANTLY FROM THOSE SET FORTH HEREIN OR IN ANY PROJECTIONS HEREINAFTER PROVIDED. THE DISTRIBUTION OF THE PROJECTIONS SHOULD NOT BE RELIED UPON IN PURCHASING THE SECURITIES OFFERED HEREBY. IN PARTICULAR, THIS MEMORANDUM DOES NOT UNDERTAKE TO PROVIDE THE DETAILED DISCLOSURES REQUIRED IN CONNECTION WITH A REGISTRATION OF SECURITIES UNDER THE SECURITIES ACT. IT IS EXPECTED THAT A PERSON CONTEMPLATING AN INVESTMENT IN THE PROPOSED TRANSACTION WILL CONDUCT AN INDEPENDENT INVESTIGATION AND ANALYSIS IN THE EXERCISE OF ITS OWN DUE DILIGENCE, AND A DECISION TO INVEST SHOULD BE BASED SOLELY ON SUCH INDEPENDENT INVESTIGATION AND ANALYSIS.

PROSPECTIVE INVESTORS WILL BE REQUIRED TO MAKE REPRESENTATIONS WITH RESPECT TO THEIR NET WORTH OR INCOME AND TO REPRESENT, AMONG OTHER THINGS, THAT THEY ARE FAMILIAR WITH AND UNDERSTAND THE TERMS OF THIS OFFERING AND HAVE ALL REQUISITE AUTHORITY TO MAKE SUCH INVESTMENT.

PROSPECTIVE INVESTORS SHOULD NOT CONSTRUE THE CONTENTS OF THIS MEMORANDUM AS INVESTMENT, TAX, LEGAL OR ACCOUNTING ADVICE. THIS MEMORANDUM AND THE OTHER DOCUMENTS DELIVERED HEREWITH, AS WELL AS THE NATURE OF AN INVESTMENT IN THE SECURITIES OFFERED HEREBY, SHOULD BE REVIEWED BY EACH PROSPECTIVE INVESTOR AND SUCH INVESTOR'S INVESTMENT, TAX, LEGAL, ACCOUNTING AND OTHER RELEVANT ADVISORS.

FLORIDA SUPPLEMENT TO THE SUMMARY OFFERING STATEMENT

THESE SECURITIES HAVE NOT BEEN REGISTERED UNDER THE FLORIDA SECURITIES ACT IN RELIANCE UPON EXEMPTION PROVISIONS CONTAINED THEREIN. ANY SALE MADE PURSUANT TO SUCH EXEMPTION PROVISIONS IS VOIDABLE BY THE PURCHASER WITHIN THREE DAYS AFTER THE FIRST TENDER OF CONSIDERATION IS MADE BY THE PURCHASER TO THE FUND, AN AGENT OF THE ISSUER OR AN ESCROW AGENT. A WITHDRAWAL WITHIN SUCH THREE-DAY PERIOD WILL BE WITHOUT ANY FURTHER LIABILITY TO ANY PERSON. TO ACCOMPLISH THIS WITHDRAWAL, A SUBSCRIBER NEED ONLY SEND A LETTER OR TELEGRAM TO THE FUND AT THE ADDRESS SET FORTH IN THIS MEMORANDUM, INDICATING HIS INTENTION TO WITHDRAW.

FOR NEW YORK RESIDENTS

THIS CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM HAS NOT BEEN REVIEWED BY THE ATTORNEY GENERAL OF THE STATE OF NEW YORK NOR HAS THE ATTORNEY GENERAL PASSED ON OR ENDORSED THE MERITS OF THIS OFFERING. ANY REPRESENTATION TO THE CONTRARY IS UNLAWFUL.

FOR PENNSYLVANIA RESIDENTS

THIS OFFERING IS BEING MADE ONLY TO ACCREDITED INVESTORS WITHIN THE STATE.

FOR NEW JERSEY RESIDENTS

THIS CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM HAS NOT BEEN FILED WITH OR REVIEWED BY THE ATTORNEY GENERAL OF THE STATE OF NEW JERSEY NOR

HAS THE ATTORNEY GENERAL PASSED ON OR ENDORSED THE MERITS OF THIS OFFERING. ANY REPRESENTATION TO THE CONTRARY IS UNLAWFUL.

FOR CONNECTICUT RESIDENTS

THE SECURITIES OFFERED HEREIN HAVE NOT BEEN REGISTERED UNDER SECTION 36-485 OF THE CONNECTICUT UNIFORM SECURITIES ACT (THE "CONNECTICUT ACT") AND, THEREFORE, CANNOT BE RESOLD UNLESS THEY ARE REGISTERED UNDER THE CONNECTICUT ACT OR UNLESS AN EXEMPTION FROM REGISTRATION IS AVAILABLE.

FOR CALIFORNIA RESIDENTS

THE SALE OF THE SECURITIES OFFERED HEREIN HAS NOT BEEN QUALIFIED WITH THE COMMISSIONER OF CORPORATIONS OF THE STATE OF CALIFORNIA, AND THE ISSUANCE OF THESE SECURITIES OR THE PAYMENT OR RECEIPT OF ANY PART OF THE CONSIDERATION THEREFORE PRIOR TO SUCH QUALIFICATION IS UNLAWFUL, UNLESS THE SALE OF UNITS IS EXEMPT FROM QUALIFICATION BY SECTION 25100, 25102 OR 25105 OF THE CALIFORNIA CORPORATIONS CODE. THE RIGHTS OF ALL PARTIES TO THE OPERATING AGREEMENT ARE EXPRESSLY CONDITIONED UPON SUCH QUALIFICATION BEING OBTAINED, UNLESS THE SALE IS SO EXEMPT. CALIFORNIA RESIDENTS WILL BE REQUIRED TO COMPLETE A PURCHASER QUESTIONNAIRE WITH RESPECT TO THEIR INVESTMENTS HEREIN.

FORWARD LOOKING STATEMENTS

This Memorandum, which for these purposes includes any supplemental information provided herewith, contains forward looking statements and forecasts concerning the Fund's plans, intentions, strategies, expectations, predictions and financial forecasts concerning their future investment activities and results of operations and other future events or conditions. These statements and forecasts are based on views and opinions of the Manager. For this purpose, any statements contained herein that are not statements of historical fact may be deemed to be forward-looking statements. Without limiting the generality of the foregoing, words such as "believes," "may," "will," "could," "intends," "estimate," "might," or "continue" or the negative or other variations thereof or comparable terminology are intended to identify forward looking statements. Additionally, certain sections of this Memorandum, such as "Certain Investment Considerations," may contain such forward-looking statements, even though such modifying terminology is absent.

It is important to note that the Fund's actual results or activities or actual events or conditions could differ materially from those estimated or forecasted in such forward-looking statements due to a variety of factors, some of which may be beyond the control of the Fund or the Manager. See "Certain Investment Considerations" for a discussion of certain other factors that could cause the Fund's actual results or activities or actual events or conditions to differ from those anticipated. Although estimates and assumptions concerning the growth of the portfolio are believed by the Manager to be reasonable, such estimates and assumptions are uncertain and unpredictable. To the extent that actual events differ materially from the Manager's assumptions and estimates, actual results will differ from those forecasted.

These statements include, among other things, statements regarding the Fund's intent, belief or expectations with respect to:

- the type and quality of the properties the Fund may acquire;
- the target returns, internal rate of return, multiple and distributions to Members; and
- the markets in which the Fund may acquire and operate real estate.

Members should not rely on forward-looking statements because they involve known and unknown risks, uncertainties and other factors which are, in some cases, beyond the Fund's control and may cause its actual results, performance or achievements to differ materially from anticipated future results, or the performance or achievements expressed or implied by such forward-looking statements.

Among the important factors that could adversely affect the Fund's performance are:

- changes in general economic conditions;
- changes in government policies or tax rates;
- the Fund's ability to acquire and operate suitable properties;
- changes in financial markets and interest rates;
- the effect of increased or unexpected competition; and
- each of the other matters described in the "Certain Investment Considerations" sections of this Memorandum.

While forward-looking statements in this Memorandum reflect the Fund's estimates and beliefs, they are not guaranties of future performance. The Fund does not promise to update any forward-looking statements to reflect changes in the underlying assumptions or factors, new information, future events or other changes.

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PRIVATE PLACEMENT MEMORANDUM

of

CARDONE EQUITY FUND 31, LLC

$150,000,000

Minimum Investment Amount: $5,000,000

August 5, 2026

This Private Placement Memorandum (this "Memorandum") is being furnished to "accredited investors" (as defined herein) for their consideration of an investment in the private offering (the "Offering") of membership interests, as described in greater detail below, in Cardone Equity Fund 31, LLC (the "Fund"), a Delaware limited liability company. Such membership interests may also be referred to herein as "Interests" or "Units." Holders of Interests are referred to herein as "Members" or "Investors." By its acceptance hereof each recipient agrees that this Memorandum may not be reproduced or distributed to others, at any time, without the prior written consent of the Fund and that the recipient will keep permanently confidential all information contained herein not already in the public domain and will use this Memorandum for the sole purpose of evaluating a possible investment in the Fund.

No person has been authorized to make any statement concerning the Fund or the Offering other than as set forth in this Memorandum and any such statements, if made, may not be relied upon. Investors should make their own investigations and evaluations of the investment offered hereby. Each prospective Investor should consult its own attorneys, business advisers and tax advisers as to legal, business, tax and related matters concerning this Offering, including those arising under the United States Internal Revenue Code of 1986, as amended (the "Code"). An investment in the Fund involves significant risks. See "Certain Investment Considerations." Investors should have the financial ability and willingness to accept the risks associated with an investment in the Fund.

The information in this Memorandum (including financial information and information concerning prior transactions) has been obtained from published and non-published sources, including the management of certain entities that participated in such prior transactions. Certain information contained herein has been obtained from published sources prepared by third parties. While such information is believed to be reliable for the purposes used herein, none of the Fund, its affiliates, or any of their respective directors, officers, members, managers, employees, or owners assumes any responsibility for the accuracy of such information.

Except where otherwise indicated, the information contained in this Memorandum or provided supplementally to this Memorandum was compiled as of the date of this Memorandum, and the Fund has no obligation to update this Memorandum or the supplemental information. Under no circumstances should the delivery of this Memorandum create any implication that there has been no change in the affairs of the Fund since the date hereof. This Memorandum shall remain the property of the Fund. The Fund reserves the right to require the return of this Memorandum (together with any copies or extracts thereof) at any time. This Memorandum is not an offer to sell, nor shall any Interests be offered or sold to any person, in

any jurisdiction in which such offer, solicitation, purchase or sale would be unlawful under the securities laws of such jurisdiction.

Capitalized terms not defined herein have the meanings ascribed to such terms in the Fund's Limited Liability Operating Agreement governing the respective rights and obligations of the Members and Manager of the Fund and the Interests issued thereunder (as amended and/or restated from time to time, the "Operating Agreement").

Each recipient of this Memorandum agrees by accepting this Memorandum that the information contained herein and in all related and ancillary documents is not to be used for any purpose other than in connection with its consideration of a purchase of the Interests, that such information is of a confidential nature and that the recipient will treat it in a confidential manner, and that it will not directly or indirectly, disclose or permit its affiliates or representatives to disclose any of such information to any other person or reproduce this Memorandum, in whole or in part, without prior written consent. Each recipient of this Memorandum further agrees that these confidentiality and other obligations shall apply to any non-public information relating to the Fund, its affiliates, or the Interests which is provided, whether in written or oral form, to such recipient after the delivery of this Memorandum.

Notice to Investors

The Interests have not been approved or disapproved by the United States Securities and Exchange Commission (the "SEC") or by the securities regulatory authority of any State or foreign jurisdiction, and neither the SEC nor any such authority has passed upon the accuracy or adequacy of this Memorandum nor is it intended that the SEC or any such authority will do so. The Interests have not been and will not be registered under the United States Securities Act of 1933, as amended (the "Securities Act"), or the securities laws of any State or foreign jurisdiction and may be sold only in transactions exempt from the registration requirements of such laws under Section 4(a)(2) of the Securities Act and Rule 506 of Regulation D under the Securities Act, and only to persons meeting the definition of "Accredited Investor" under Regulation D. The Interests may not be resold except under limited circumstances in compliance with applicable laws and other restrictions described herein.

Furthermore, the Manager believes the nature of the Fund will not be subject to the Investment Company Act of 1940, as amended. In addition, neither the Manager nor its affiliates will be registered as an investment advisor under the Investment Advisers Act of 1940, as amended. Consequently, Investors will not be afforded many of the protections available to investors under those laws and regulations.

Any projections or other estimates in this Memorandum or any supplemental information provided, including estimates of returns or performance, are forward-looking statements and are based upon certain assumptions that the Fund and the Manager consider to be reasonable. Other events, which were not considered, may occur and may significantly affect performance. Any assumptions, projections or estimates should not be construed to be indicative of the actual events that will occur. Actual events are difficult to predict and depend upon factors that are beyond the Fund's control. Certain assumptions have been made to simplify the presentation and, accordingly, actual results will differ, and may differ significantly, from those presented. Some important factors which could cause actual results to differ materially from those projected or estimated in any forward-looking statements include, but are not limited to, the following: changes in interest rates and financial, market, economic or legal conditions. In addition, the degree of risk may be increased because of the leveraging of the Fund's investments. These and other risks are described under "Certain Investment Considerations" and elsewhere in this Memorandum, in each case, which Investors are urged to read and consider prior to investing in the Interests. Accordingly, there can be no assurance that targeted returns or projections will be realized. Such targeted returns and projections should be viewed as hypothetical and do not represent the actual returns that will be achieved by an Investor. Investors should conduct their own analysis, using such assumptions as they deem

appropriate, and should fully consider other available information, including the information described in "Certain Investment Considerations," in making an investment decision. Due to the numerous risks inherent in the investment, investors must be prepared to bear the economic risk of their investment for an indefinite period and be able to withstand a total loss of their investment.

Investors should bear in mind that past performance is not necessarily indicative of future results and there can be no assurance that the Fund will achieve results comparable with similar funds' past performance or results comparable with the performance of other funds managed by the Manager.

There is no public market for the Interests and no such market is expected to develop in the future. The Interests may not be resold or transferred (i) except as permitted under the Operating Agreement, and under the Fund's subscription agreement (the "Subscription Agreement") and (ii) unless such resale is made in accordance with an exemption from the registration requirements of applicable securities laws.

The Interests are also subject to further restrictions on transfer described herein. Because of such restrictions, it is unlikely that a secondary trading market for the Interests will ever develop, and Investors will bear the risk of their investments for an indefinite period. Investors should note their limited withdrawal and governance rights described in the Operating Agreement.

Any questions or requests for additional information should be directed to:

Investor Relations
Cardone Capital LLC
18851 NE 29th Avenue
Aventura, FL 33180
Investor Support: (833)-822-7435
Investor Relations: (305) 407-0276
Email: invest@cardonecapital.com

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EXECUTIVE SUMMARY

Cardone Equity Fund 31, LLC (the "Fund") seeks to capitalize on strategic, undervalued and/or value-add multifamily properties. The Fund is targeting up to $150 million (with the option to increase to $250 million at the Manager's sole discretion) in capital commitments ("Capital Commitments") from qualified investors for acquiring, repositioning, managing, operating and disposing of such assets. Although the Fund will primarily target Class A & B multifamily assets across the Sunbelt, the Fund may, from time to time, invest in other cash flowing and potentially cash flowing multifamily, commercial (i.e., senior living, mobile home parks, self-storage, mixed-use, office and/or retail) and single-family assets as well as real estate-backed investments in other markets if compelling opportunities arise. The Fund may invest in distressed properties, including but not limited to REOs, foreclosures, off-market, pulled from market, and price-reduced properties. A detailed description of the multifamily property (the "Property") the Fund intends to purchase with the funds raised by this Offering is being made available to Investors simultaneously with this Memorandum.

In addition to the Property, the Fund intends to use a portion of the funds raised by this Offering to purchase Bitcoin ("Bitcoin" or "BTC"), which it intends to hold as a hedge on the ongoing value of the Property. As described in greater detail below, BTC is a type of digital currency in which a record of transactions is maintained and new units of currency are generated by the computational solution of mathematical problems, and which operates independently of a central bank. The exact amount of proceeds from this Offering that will be used for the purchase of BTC will be determined in the Manager's sole and absolute discretion, in part depending on the ultimate amount of funds raised in this Offering. At this time, the Fund does not intend to invest in digital assets other than BTC. *See "Risks Related to BTC and Digital Assets Generally."*

The term of the Fund may be up to ten (10) years from its Initial Closing, and such term may be extended in the sole discretion of the Manager.

The Fund may use a combination of equity and debt financing for its acquisition of assets; provided that the Fund shall use commercially reasonable efforts to ensure that indebtedness with a maturity date of over one year shall not exceed, in the aggregate, eighty percent (80%) of the aggregate Fair Market Value of all its direct and indirect assets at the time such loan is incurred. In some circumstances, the Property may be purchased 100% with debt financing, with the intention that equity financing will be used to pay down such debt to at least the leverage ratios discussed above. Any financing may be secured or guaranteed by the Fund and may be provided by unrelated third parties (i.e., a lender or a seller of a property) or affiliates of the Manager. If such financing is provided by affiliates of the Manager, terms will be consistent with those then currently available from third parties. Although the Manager would prefer to seek non-recourse loans that would limit the exposure of such loans to the underlying property for each such loan, current market conditions may require the Manager to obtain loans with either full or partial recourse to the Fund or cross-collateralization with other investments of the Fund.

In the event the Fund borrows money from an affiliate of the Manager, such as purchase mortgages, refinance mortgages and construction lines of credit, the affiliate will receive compensation from the Fund for providing any such loans. Such loans, if any, will be on terms that the Manager believes to be no less favorable to the Fund than generally available from third parties; however, loan terms will be established by the Manager and not as a result of arm's length negotiations.

Cardone Capital LLC, a Delaware limited liability company, is the sole manager of the Fund (the "Manager"), the principal of which is Grant Cardone.

The minimum investment is $5 million ($5,000,000) per unique investor, however; the Manager, in its discretion, may accept a lesser amount.

At any time after obtaining Capital Commitments of at least $5 million ($5,000,000) the Manager may seek to hold the "Initial Closing." The Manager may conduct additional Closings from time to time at such time and in such frequency as it may determine in its sole discretion. In the event that the minimum Capital Commitment is not raised in connection with the Offering on or prior to the date that is twelve (12) months from the date of this Memorandum, the Offering will not be launched and the Manager will return any and all amounts tendered by Investors in respect of the Interests offered hereby to Investors immediately thereafter.

FUND INVESTMENT OBJECTIVE AND STRATEGY

The Fund's objective is to effectively deploy net proceeds of this Offering in assets that are designed to generate current income and long-term growth. A detailed description of the Property the Fund intends to purchase with the funds raised by this Offering is being made available to Investors simultaneously with this Memorandum. The Fund also intends to deploy a portion of the net proceeds of this Offering for the purchase of BTC, which is intended to act as a value hedge to diversify the risks to the Fund's overall value. Each Investor's Capital Contribution will be invested in both the Property and BTC. In addition, as discussed in greater detail below, the Fund plans to reinvest distributions, which would otherwise be payable to Investors, into additional real estate and BTC assets.

Real Property Investment

The Fund's strategy will be to produce attractive risk-adjusted returns by acquiring, repositioning, managing, opening and disposing of strategic, undervalued and/or value-add multifamily properties in need of better management, repositioning, physical improvements and other enhancements. The Fund may invest in distressed properties, including but not limited to REOs, foreclosures, off-market, pulled from market, and price-reduced properties. Value-add properties may not generate positive cash flow for a significant period of time, if ever (or may have a cash deficit and require significant cash). There may be unanticipated delays in, or increases in the cost of, improving or repositioning such properties, which are beyond the control of the Manager. Further, there is no assurance the Manager and its affiliates will be successful in improving the financial performance of the properties, as this depends in a significant part on a number of factors beyond the Manager's control, including general or local economic conditions, and demand for residential real estate in the local market. Thus, underperforming and value-added properties may pose greater investment risk than fully stabilized properties.

The target markets and properties should generally possess the criteria that allow for underwriting and returns that meet the Fund's objectives, however, the Fund may invest in other target markets and cash flowing and potentially cash flowing assets (including commercial, senior living, mobile home parks, self-storage, mixed-use, office, retail and/or single family) in which the Manager believes that the assets can be effectively underwritten. The Fund may also make loans on similar asset classes to affiliates and non-affiliates, with the following being the general outline of individual properties to be acquired and held by the Fund:

Type of Investment	Primarily Multifamily
Property Class	All Classes
No. of Units	200+
Price	$50M+
Target Markets	Sunbelt
Existing Occupancy	0%-100%
Long-Term Leverage	Up to 80%
Targeted Investment Term	10 years

The Manager believes Fund performance will be enhanced by focusing its performance strategies on how each asset drives cash flow. When analyzing potential acquisitions, the Manager will look for investments where its particular skill set may create value post-acquisition and throughout the holding period during which time the asset management team will focus its efforts on consistently applying the Fund's strategy.

No assurance can be given that these objectives will be attained or that the Fund's capital will not decrease, or that an Investor's investment will not be lost entirely.

The Manager may cause the Fund to invest in a property side-by-side with other investment vehicles managed by Cardone Capital, LLC, which have unique investment objectives, risks, investment terms, fees and expenses, and tax considerations, and, in such cases, in proportions that will be determined by the Manager. In the Manager's sole and absolute discretion, the Fund may use special purpose entities as subsidiaries, including corporations, limited liability companies and limited partnerships to make and hold investments, and the Fund may sell or contribute Fund Assets to entities (including but not limited to a pre-IPO vehicle, public company or one or more umbrella partnership real estate investment trusts) managed, owned, controlled by, or affiliated with, the Manager, its principals or any affiliate of the foregoing. The Manager may also cause the Fund to invest through corporations, limited liability companies, limited partnerships, joint ventures (both with third parties and affiliates of the Manager or its principals), or other arrangements (including, specifically, any one or more umbrella partnership real estate investment trusts) managed, owned, controlled by, or affiliated, with any of the Manager, its principals or any affiliate of the foregoing in which the Fund has an economic interest and where such arrangements are reasonably expected to preserve in all material respects the overall economic relationship of the Members.

Consult with your tax, legal and/or financial adviser before making any investment decisions.

A detailed description of the Property the Fund intends to purchase with the funds raised by this Offering is being made available to Investors simultaneously with this Memorandum.

Bitcoin (BTC)

Bitcoin (or BTC) and other crypto or digital assets are a fast evolving, relatively new technology, though Bitcoin is the oldest and most widely used of the digital assets.

Bitcoin is a decentralized digital currency that enables instant transfers to anyone, anywhere in the world. Managing transactions in Bitcoin occurs via an open source, cryptographic protocol platform known as the Bitcoin Network, which uses peer-to-peer technology to operate with no central authority. The Bitcoin Network is an online, end-user-to-end-user network that hosts the public transaction ledger, known as the Bitcoin Blockchain, and the source code that comprises the basis for the cryptographic and algorithmic protocols governing the Bitcoin Network. No single entity owns or operates the Bitcoin Network, the infrastructure of which is collectively maintained by a decentralized user base. As the Bitcoin Network is decentralized, it does not rely on either governmental authorities or financial institutions to create, transmit or determine the value of Bitcoins. Rather, the value of Bitcoins is determined by the supply of and demand for Bitcoins. Bitcoins can be used to pay for goods and services or can be converted to fiat currencies, such as the USD, at rates determined by the Bitcoin Exchanges, although BTC has not yet been widely adopted as generally accepted payment method in commercial transactions.

To prevent the possibility of double-spending a single Bitcoin, each transaction is recorded, time stamped and publicly displayed in a "block" in the publicly available Bitcoin Blockchain. Thus, the Bitcoin Network provides confirmation against double-spending by memorializing every transaction in the Bitcoin Blockchain, which is publicly accessible and downloaded in part or in whole by many Bitcoin Network users' software programs.

Prior to engaging in Bitcoin transactions, a user must first obtain a digital bitcoin "wallet" (analogous to a bitcoin account) in which to store Bitcoins. A "wallet" is an open-source software program that generates Bitcoin addresses and enables users to engage in the transfer of bitcoins with other users. A user may install a Bitcoin software program on its computer or mobile device that will generate a Bitcoin wallet or, alternatively, a user may retain a third party to create a digital wallet to be used for the same purpose. There is no limit on the number of digital wallets a user can have, and each such wallet includes one or more unique addresses and a verification system for each address consisting of a "public key" and a "private key," which are mathematically related.

The process by which Bitcoins are created and Bitcoin transactions are verified is called mining. To begin mining, a user, or "miner," can download and run a mining client, which, like regular Bitcoin Network software programs, turns the user's computer into a "node" on the Bitcoin Network that validates blocks. Sets of bitcoin transactions are combined in new blocks that need to be added to the Bitcoin Blockchain. Miners, through the use of the Bitcoin software program, engage in a set of prescribed complex mathematical calculations in order to add a block to the Bitcoin Blockchain and thereby confirm Bitcoin transactions included in that block's data. A miner who is the first to complete the calculations adds a new block to the Bitcoin Blockchain and is rewarded with newly issued bitcoins.

Bitcoin is an open source project with no official developer or group of developers that controls the Bitcoin Network. However, the Bitcoin Network's development is overseen by a core group of developers who are able to access and can alter the Bitcoin Network source code and, as a result, they are responsible for quasi-official releases of updates and other changes to the Bitcoin Network's source code. The release of updates to the Bitcoin Network's source code does not guarantee that the update will be automatically adopted. Users and miners must accept any changes made to the Bitcoin source code by downloading the proposed modification of the Bitcoin Network's source code. A modification of the Bitcoin Network's source code is only effective with respect to the bitcoin users and miners that download it. If a modification is accepted only by a percentage of users and miners, a division in the Bitcoin Network will occur such that one network will run the pre-modification source code and the other network will run the modified source code; such a division is known as a "fork" in the Bitcoin Network.

An increasing number of companies worldwide are using Bitcoin and other crypto and digital assets for a host of investment, operational, and transactional purposes. Many see Bitcoin as a reliable store of value, similar to the traditional role of real estate, that is easier to access and cheaper to store and maintain. Some predict that these benefits, while filling a similar role to real estate as an inflationary hedge, may eventually diminish the monetary premium that real estate has historically enjoyed, especially as it gains acceptance as a collateral by the traditional banking system.

The Fund, therefore, believes it may be beneficial to integrate Bitcoin into the Fund's investment objectives, with the goal of ensuring that Investors may be better positioned to capitalize on Bitcoin's anticipated growing role in the financial landscape and its impact on real estate's valuation. Bitcoin can play a crucial role as a disinflationary currency, meaning its inflation rate decreases over time, providing an appreciating capital base that can help mitigate the risks associated with decreases in the value of the U.S. dollar. The Fund's general creditworthiness may be enhanced because Bitcoin diversifies its investment holdings beyond the real estate sector. In other words, the Fund intends to use Bitcoin as a partial hedge on any decrease in value of the Property that may occur, either as a result of changing interest rates, cyclical volatility or otherwise. This way, the Fund seeks to capture any monetary premium that flows from real estate into Bitcoin, hedge against monetary inflation, and build resilience and creditworthiness over time, allowing the Fund to leverage the benefits of both asset classes: Bitcoin's potential price appreciation and real estate's cash flow. The exact amount of proceeds from this Offering that will be used for the purchase of Bitcoin will be determined in the discretion of the Manager, in part depending on the total amount of funds raised in this Offering. At this time, the Fund does not intend to invest in digital assets other than Bitcoin.

Investors are cautioned that any investment in BTC is highly speculative, may result in a partial or total loss and returns on any investment in BTC may not be correlated with returns on investment in more traditional securities and real estate. Any Investor contemplating an investment in the Fund should carefully review "Risks Related to BTC and Digital Assets" below.

MANAGEMENT OF THE FUND

The Manager of the Fund is Cardone Capital LLC, a Delaware limited liability company. The strategic direction and investment objectives of the Fund are the focus of the Manager's principal, Grant Cardone.

The Fund will primarily invest in multifamily properties, primarily located across the Sunbelt. These types of investments are, or relate to, properties generally located in central business districts or secondary metropolitan cities. The Manager generally focuses on individual properties with gross values of at least $50 million. There may be instances where assets are purchased larger or smaller than this amount and may include multiple assets purchased simultaneously or over time. The Fund also may invest in senior living, mobile home parks, self-storage, mixed-use, office and/or retail properties located throughout the United States. In addition, the Fund may invest in distressed properties, including but not limited to REOs, foreclosures, off-market, pulled from market, and price-reduced properties.

The Manager employs a strategy of investing in assets that are well-selected, well-managed and disposed of at an optimal time. Our principal targeted assets are investments in properties if compelling opportunities arise that present superior opportunities for above-market returns, that have quality construction and desirable locations which can attract quality tenants.

To this end, the Manager may:

- Co-invest in Class A and Class B multifamily apartment communities in quality locations in the Manager's target markets, where the Manager can add significant value through hands-on management and/or appreciation potential;
- Buy assets at below-market prices, or at market prices where there is sufficient upside potential to obtain above-market returns over the long term;
- Make physical alterations and other improvements to those communities, where the Manager can achieve significant benefit with minimal capital outlay; and
- Through active third-party property management, increase the rents to increase the overall value of the property.

Grant Cardone has been investing in multifamily real estate since the mid 1990s, across several economic cycles and environments. Mr. Cardone has completed transactions in metropolitan areas across multiple states including Florida, Texas, Arizona, Georgia, North Carolina, Tennessee and California. Cardone Real Estate Acquisitions ("CREA"), the Fund's acquisition arm, and the Manager analyze properties year-round to discover opportunities in which to invest. CREA focuses on buying properties that offer opportunities to increase rents, occupancy and reduce concessions, while using Mr. Cardone's proprietary knowledge and strategies for improving customer service through smart management, positive customer experience and economies of scale. Even though Mr. Cardone has extensive experience in the real estate sector, the Fund is one of the first investment offerings undertaken by either Mr. Cardone or the Manager's other senior leadership involving BTC.

In addition to prior multifamily investment funds and the Fund, the Manager may also

simultaneously offer investment opportunities in other funds, which may invest side-by-side with the Fund and/or in other multifamily properties. Each investment vehicle managed by the Manager has unique investment objectives, risks, investment terms, fees and expenses, and tax considerations. There can be no assurance that the Fund will achieve results comparable with similar funds' past performance or results comparable with the performance of other funds managed by the Manager. Talk to your tax, legal and/or financial adviser before making any investment decisions.

Manager Compensation

In addition to a carried interest distribution, Investors should note that the Manager or its designated affiliate(s) will receive an annual asset management fee (the "Asset Management Fee") equal to one percent (1%) of the aggregate Capital Contributions. The Asset Management Fee payable after the date of admission or increase in the Capital Contribution of any Member subsequent to the Initial Closing shall reflect the Company's increased Capital Contributions calculated as if such Member had been admitted to the Company as of the Initial Closing with a Capital Contribution equal to each such Member's Capital Contribution immediately following such admission or increase. The Manager and its affiliates are also entitled to a one percent (1%) Asset Acquisition Fee and a one percent (1%) Asset Disposition Fee on each asset in the Fund (each, as defined below), as well as a Financing Coordination Fee (as defined below) equal to one percent (1%) of the principal amount of each loan placed on the asset, whether at the time of acquisition or pursuant to a refinancing. This Financing Coordination Fee will be in addition to any fees paid to third parties, such as mortgage brokers and lenders.

The Manager or its designated affiliate(s) may also receive other fees for services provided to the Fund and the respective properties including, without limitations, market rate fees for property management, construction and construction management, and real estate brokerage fees along with fees for arranging debt financings provided by third parties.

Additionally, the Manager will receive 50% of all returns on invested capital after repayment of the Members' (i) initial investment and (ii) an annual, non-compounded 8% preferred return.

The Manager, in its sole and absolute discretion, may defer the payment of any fees due the Manager, including those described above, and the Manager, in its sole and absolute discretion, will receive all such unpaid fees prior to Investors receiving any distributions upon either a sale or financing of Fund Assets or upon liquidation of the Fund.

For more information, see *Management Fees* under *Summary of Fund Terms*.

We have considered the Fund's fee structure, administrative procedures, and third-party service providers including Fund administration and accounting services and have attempted to create a beneficial and proper alignment of interests between the Manager and the Investors, but there is no guarantee that interests will be aligned. None of the agreements and arrangements between the Fund and the Manager or its affiliates is the result of arm's-length negotiations. In addition to Manager compensation, the Fund is subject to various potential conflicts of interest arising out of its relationship with the Manager and its affiliates. For more information, see *Conflicts of Interest* under *Risk Factors*.

FUND STRUCTURE

The Fund is organized as a Delaware limited liability company. The Fund is making an offering that is exempt from registration under Regulation D promulgated by the SEC under the Securities Act of 1933 (the "Act" or "Securities Act"). The Fund is open to both United States and non-US Investors. If the Fund has non-US Investors, then it will be subject to U.S. tax withholding obligations with respect to such Investors.

Investors shall acquire equity ownership in the Fund and shall become Members of the Fund, subject to the terms of the Operating Agreement, upon executing a Subscription Agreement and a joinder to the Operating Agreement, payment of all amounts set forth in the Subscription Agreement and acceptance by Manager of each Investor's subscription.

By executing a Subscription Agreement, an Investor unconditionally and irrevocably makes a commitment to contribute capital in accordance with the terms set forth in the Subscription Agreement and Operating Agreement.

The Fund seeks to raise the maximum offering of up to $150 million in Investor capital, which amount may be increased to $250 million in the sole discretion of the Manager. The Manager may or may not raise the full amount during the lifetime of the Fund.

Investor Suitability Standards

The suitability standards discussed below represent minimum suitability standards for prospective Investors. Each prospective Investor should determine whether an investment in the Interest offered hereby is appropriate. The Offering and sales of the Interests offered hereby will be made only to persons and/or entities who meet or exceed certain suitability standards that have been adopted by the Fund for the purpose of determining who will be permitted to invest. Subscription Agreements from prospective Investors will be accepted or rejected by the Manager in its sole discretion. The Manager reserves the right to reject any Subscription Agreement for any reason.

The Interests will be offered and sold only in accordance with the exemption from the registration requirements of the Securities Act which is provided by Rule 506 of Regulation D promulgated thereunder.

Sales of the Interests in the Fund will be made only to persons who qualify as "accredited investors" under Regulation D under the Securities Act. Each prospective Investor will be required to make a representation as to the foregoing and, among other things, to represent that it is purchasing its Interest for its own account for investment purposes and not for resale or distribution. In addition to the representations described above, potential Investors will be required to submit a verification letter acceptable to the Fund from a FINRA-registered broker-dealer, SEC-registered investment adviser, certified public accountant or licensed attorney family with the Investor's "accredited investor" status and certifying to the same, a form of which is attached to the Subscription Agreement.

Generally, to be considered an "accredited investor," a prospective investor must meet one of the following requirements:

- Any natural person who had an individual income in excess of $200,000 in each of the two most recent years or joint income with that person's spouse in excess of $300,000 in each of those years and has a reasonable expectation of reaching the same income level in the current year;

- Any natural person whose individual net worth or joint net worth with that person's spouse, at the time of the purchase exceeds $1,000,000, excluding the value of the primary residence of such person;

- An entity with total assets in excess of $5,000,000 not formed for the specific purpose of acquiring the securities offered; or

- An entity, each of whose equity owners is an accredited investor.

The Manager will not accept subscriptions from any person who does not represent in the Subscription Agreement that, among other things, such person meets the standards, which are set forth therein, or who the Manager reasonably believes does not meet such standards. For this purpose, the Manager will rely upon the accuracy of the prospective investor's completed Subscription Agreement.

The Manager reserves the right to review the suitability of any person desiring to purchase Interests and, in connection with such review, the Manager reserves the right to set higher standards for prospective investors investing more than the minimum and to reject subscriptions for Interests notwithstanding compliance with such standards by a prospective Investor. Additionally, all prospective Investors in Interests must also meet the following standards:

Minimum Purchase. Generally, each purchaser of Interests will be required to purchase at least $5 million of Interests, unless such requirement is waived by the Manager in its sole and absolute discretion.

Ability to Accept Limitations on Transferability. Because the Operating Agreement and applicable U.S. federal and state securities laws each contain significant limitations on the transferability of the Interests, and because no market for Interests will develop and Interests may be redeemed only at certain stated intervals, purchasers of Interests will be required to represent that they have adequate means of providing for their current needs and for contingencies.

SUMMARY OF FUND TERMS

<table>
<tr><td>The Fund</td><td>Cardone Equity Fund 31, LLC (the “Fund”), a Delaware limited liability company.</td></tr>
<tr><td>The Manager</td><td>Cardone Capital LLC (the “Manager”), a Delaware limited liability company.</td></tr>
<tr><td>Investment Objective</td><td>The Fund’s objective is to effectively deploy the net proceeds of this Offering in assets that are designed to generate current income and long-term growth, as well as certain digital assets to hedge potential risks to value in such primary assets and to potentially enhance investment returns. There can be no assurance that targeted returns or any returns will be achieved.</td></tr>
<tr><td>Investment Strategy</td><td><u>Real Estate</u>
The Fund will seek to achieve its objective by utilizing the Manager’s select investment criteria and return objectives in the acquisition, leasing and repositioning of strategic, undervalued and value-add multifamily properties. Value-add properties may not generate positive cash flow for a significant period of time, if ever (or may have a cash deficit and require significant cash). There may be unanticipated delays in, or increases in the cost of, improving or repositioning such properties which are beyond the control of the Manager. Further, there is no assurance the Manager and its affiliates will be successful in improving the cash results of the properties, as this depends in a significant part on a number of factors beyond the Manager’s control, including general or local economic conditions, and demand for residential real estate in the local market. Thus, underperforming and value-added properties may pose greater investment risk than fully stabilized properties.

Fund investments in real estate may be in individual or multiple properties and generally will consist of Class A and Class B multifamily assets with over 200 units and a price over $50 million.
Generally, as relates to its investments in real estate, the Fund will seek individual opportunities which meet the following criteria:

<table>
<tr><td>Type of Investment</td><td>Primarily Multifamily</td></tr>
<tr><td>Property Class</td><td>All Classes</td></tr>
<tr><td>No. of Units</td><td>200+</td></tr>
<tr><td>Price</td><td>$50M+</td></tr>
<tr><td>Target Markets</td><td>Sunbelt</td></tr>
<tr><td>Existing Occupancy</td><td>0%-100%</td></tr>
<tr><td>Long-Term Leverage</td><td>Up to 80%</td></tr>
<tr><td>Targeted Investment Term</td><td>10 years</td></tr>
</table>

Target real estate markets will include those across the Sunbelt. However, the Fund may invest in other markets within the continental U.S. as well as other classes of multifamily, single-family and commercial properties (i.e., senior living, mobile home parks, self-storage, mixed-use, office and/or retail properties) and other real estate-</td></tr>
</table>

	backed investments as may be determined by the Manager. The Fund may invest in distressed properties, including but not limited to REO's, foreclosures, off-market, pulled from market, price-reduced properties. **A detailed description of the Property the Fund intends to purchase with the funds raised by this Offering is being made available to Investors simultaneously with this Memorandum.** The Manager may cause the Fund to invest in a property side-by-side with other investment vehicles managed by Cardone Capital, LLC, which have unique investment objectives, risks, investment terms, fees and expenses, and tax considerations, and, in such cases, in proportions that will be determined by the Manager. The Manager may also simultaneously offer investment opportunities in other funds, which may invest side-by-side with the Fund and/or in other multifamily properties. Each investment vehicle managed by the Manager has unique investment objectives, risks, investment terms, fees and expenses, and tax considerations. There can be no assurance that the Fund will achieve results comparable with similar funds' past performance or results comparable with the performance of other funds managed by the Manager. <u>Bitcoin ("BTC") and Digital Assets</u> The Fund may implement a dollar-cost averaging strategy and acquire BTC, or other digital assets, at monthly intervals although the amount, timing and frequency of such investments will be subject to the Manager's sole and absolute discretion as set forth in Section 9 of the Operating Agreement.
Offering Size	The Fund is offering to a limited number of prospective investors the opportunity to subscribe for Interests in, and become members of, the Fund (the "Members"). The Fund is seeking total Capital Commitments of up to $150 million, with the option to increase to $250 million at the Manager's sole discretion. The Manager will break escrow and conduct the Initial Close at any time after total Capital Commitments equal or exceed $5 million.
Securities Offered	The Membership Interests of the Members shall be represented by issued and outstanding Units, which may be divided into one or more types, classes or series. Each type, class or series of Units shall have the privileges, preference, duties, liabilities, obligations and rights, including voting rights, if any, set forth in this Agreement with respect to such type, class or series. The Fund shall initially have four classes of Units, including Class A Units, Class B Units and Class D Units (collectively "Investor Units"), whose voting rights are limited, and Class M Units reserved for the Manager and its Affiliates. The number of Investor Units and Class M Units will be determined by the Manager in its sole and absolute discretion, provided, however, that the number of Class A Units, Class B Units and Class D Units shall always be equal, and for each Class A Unit a Member owns, such Member will own a Class B Unit and a Class D Unit. Except where the Operating Agreement provides

	otherwise, any matter that requires Member approval shall require only the affirmative vote of more than fifty percent (50%) of the then currently issued Class M Units. No class of Units can be exchanged for any other class of Units without the consent of the Manager. The Manager, in its sole and absolute discretion, may create additional classes of Units with such rights and privileges as the Manager may deem appropriate in its sole and absolute discretion. The Fund will sell Units at a "Unit Price" that may fluctuate from time to time in the sole and absolute discretion of the Manager. The Units shall initially be sold as a combination of one Class A Unit, one Class B Unit, and one Class D Unit combined, for a price of $1,000. The Fund will allow for fractional Units.
Eligible Investors	Investors that are "accredited investors," within the meaning of Rule 501(a) of Regulation D promulgated under the Securities Act, submit a Subscription Agreement, the acceptance of which is subject to the Manager's approval in its sole judgment. The minimum Capital Commitment is $5 million, although the Manager may accept subscriptions for smaller amounts in its sole and absolute discretion.
Closings	At any time after obtaining Capital Commitments of at least $5 million the Manager may hold the "Initial Closing." After the Initial Closing, the Fund may conduct multiple additional Closings. Subsequent Closings may be held at such time and with such frequency as the Manager may determine in its sole and absolute discretion.
Use of Proceeds	The Fund will invest, directly or indirectly, in the investments described in Investment Objections and Investment Strategy above. The Fund will also use the offering proceeds to pay or reimburse the Manager and its affiliates for legal, accounting, due diligence, marketing and other expenses relating to the formation or operation of the Fund, to pay fees to the Manager as described herein, to provide working capital for the Fund and to establish reasonable reserves to meet the Fund's obligations.
Term of the Fund	The Fund's term will be ten (10) years from the date of the Initial Closing; provided, however, that the term may be reduced or extended if Manager deems appropriate in its sole and absolute discretion.
Real Estate Investment Limitations	Geographic Limitation. The Manager expects that the Fund's Capital Commitments allocated to investment in real estate will be invested primarily but not exclusively across the Sunbelt. The Fund will not invest in real estate outside the continental United States.
Leverage	The Fund will use a combination of equity and debt financing for its acquisition of assets; provided that the Fund will use commercially reasonable efforts to assure that total long-term leverage will not exceed, in the aggregate, eighty percent (80%) of the value of the Fund's assets. Any financing may be guaranteed by the Fund or secured by the assets or rights of the Fund, including, without limitation, each investor's obligation to make capital contributions. Such financing may be provided by unrelated third parties (i.e., a lender or a seller of a property) or

	affiliates of the Manager. In some circumstances, the Property may be purchased 100% with debt financing, with the intention that equity financing will be used to pay down such debt to at least the leverage ratios discussed above. If such financing is provided by affiliates of the Manager, terms will be consistent with those then currently available from third parties. Although the Manager would prefer to seek non-recourse loans that would limit the exposure of such loans to the underlying property for each such loan, current market conditions may require the Manager to obtain loans with either full or partial recourse to the Fund or cross-collateralization with other investments of the Fund. In the event the Fund borrows money from an affiliate of the Manager, such as for purchase mortgages, refinance mortgages and construction lines of credit, the affiliate will receive compensation from the Fund for providing any such loans. Such loans, if any, will be on terms that the Manager believes to be no less favorable to the Fund than generally available from third parties; however, loan terms will be established by the Manager and not as a result of arm's length negotiations.
Capital Contributions	Each Member will agree to make capital contributions in cash up to the aggregate amount of the Investor's Capital Commitment. In addition to an Investor's Capital Commitment, at any time after the Final Closing of the Offering, the Manager may issue one or more capital calls to Members, with each Member obligated to contribute an additional aggregate amount up to ten percent (10%) of such Member's Capital Commitment.
Pre-Initial Closing Financing	If prior to the Initial Closing the Fund requires financing to acquire an investment, the Manager, or its principal, and any Member electing to participate may advance all or a portion of the necessary financing up to the amount of their Capital Commitment as an advance on such Capital Commitment. In the alternative, the Manager, in its sole and absolute discretion, may treat such advance as a loan to the Fund. To the extent that such amount is treated as a loan to the Fund, the participant shall be entitled to interest on such loan at an annual rate as determined by the Manager, which the Manager believes to be no less favorable to the Fund than generally available from third parties.
Fund Capital Reinvestment	The Fund may retain and reinvest proceeds received upon an investment's disposition or refinancing, including proceeds that represent invested capital. If the original real estate asset in which the Fund deployed invested capital is sold at any time within the first three years of the Fund, the Manager may use the invested capital to reinvest in another asset and is under no obligation to return the invested capital to the Members. If the original real estate asset in which the Fund deployed invested capital is sold at any time after the first three years of the Fund, the Manager may use the proceeds in excess of Unreturned Class A Capital and Unreturned Class B Capital (the "Excess Proceeds") to reinvest in another asset and is under no obligation to return the Excess Proceeds to the Members.

Distributions	The Fund will endeavor to make monthly distributions of available net cash flow from operations (after reserves and expenses, including, but not limited to, present and anticipated debts and obligations under any credit facility or otherwise, capital needs and expenses, the payment of any management or administrative fees and expenses, including without limitation the Asset Management Fee, Asset Acquisition Fee, Asset Disposition Fee, and Financing Coordination Fee, and reasonable reserves for contingencies). Priority of Distributions. Subject to the priority of Distributions pursuant to Section 13.2 of the Operating Agreement, if applicable, all Distributions determined to be made by the Manager pursuant to Section 6.1 and Section 6.2 of the Operating Agreement shall be made pursuant to Section 6.3 of the Operating Agreement as follows: 1) Distributable Cash from Operations. Distributable Cash from Operations that Manager, in its sole and absolute discretion, elects to distribute shall be distributed in the following order of priority: a) First, to the extent not previously distributed pursuant to Section 6.3, a cumulative, non-compounded preferred return of 8.0% per annum on the Unreturned Capital of Class A and Class B Members, determined on the basis of a year of 365 or 366 days, as the case may be, for the actual number of days occurring in the period for which the preferred return is being determined, and based on the average daily balance of the Unreturned Capital of a Class A and Class B Member, from time to time, during the period to which the preferred return relates, commencing on the later of (i) the day on which the Class A and Class B Member first makes a Capital Contribution; and (ii) the date of the Agreement. b) Thereafter, all remaining Distributable Cash from Operations, as applicable, shall be Distributed fifty percent (50%) to the Class A and Class B Members *pro rata* in accordance with their respective Class A Percentage (which is the same as their respective Class B Percentage), and fifty percent (50%) to the Class M Member. 2) Class A Real Estate Capital Transactions. Distributable Cash from a Class A Real Estate Capital Transaction, as applicable, that Manager, in its sole and absolute discretion, elects not to reinvest in BTC pursuant to Section 6.2 of the Operating Agreement shall be distributed in the following order of priority: a) First, one hundred percent (100%) to the Class A and Class B Members pursuant to Section 6.3(f) and *pro rata* in accordance with their respective Class A Percentage (which is the same as their respective Class B Percentage) until the aggregate Distributions under Section 6.3(a), Section 6.3(b), Section 6.3(c) and Section 6.3(d) of the Operating Agreement, shall have reduced the Unreturned Capital of all Class A and Class B

	Members (both Unreturned Class A Capital and Unreturned Class B Capital) to zero. For the avoidance of doubt, once the Unreturned Class A Capital and Unreturned Class B Capital has been reduced to zero, no further preferred return shall accrue. b) Second, to the extent not previously distributed pursuant to Section 6.3(a), Section 6.3(b), Section 6.3(c) and Section 6.3(d) of the Operating Agreement, a cumulative, non-compounded preferred return of 8.0% per annum on the Unreturned Capital of Class A and Class B Members, determined on the basis of a year of 365 or 366 days, as the case may be, for the actual number of days occurring in the period for which the preferred return is being determined, and based on the average daily balance of the Unreturned Capital of a Class A and Class B Member, from time to time, during the period to which the preferred return relates, commencing on the later of (i) the day on which the Class A and Class B Member first makes a Capital Contribution; and (ii) the date of the Agreement. c) Thereafter, all remaining Distributable Cash from Class A Real Estate Capital Transactions, as applicable, shall be Distributed fifty percent (50%) to the Class A and Class B Members *pro rata* in accordance with their respective Class A Percentage (which is the same as their respective Class B Percentage), and fifty percent (50%) to the Class M Member (i.e., the Manager). d) Notwithstanding anything in Section 6.3 of the Operating Agreement to the contrary, if the Fund invests in additional BTC or real estate using borrowed funds for which the initial real property asset purchased by the Fund is used as collateral, any Distributions made from Distributable Cash resulting from the sale of such additional BTC or real estate shall be Distributed fifty percent (50%) to the Class A Members and Class B Members, pro rata in accordance with their respective Class A Percentage (which is the same as their respective Class B Percentage) and fifty percent (50%) to the Class M Member. For the avoidance of doubt, any Distributions to Class A Members and Class B Members pursuant to Section 6.3(b)(iv) shall reduce dollar-for-dollar the amount such Class A Members and Class B Members would otherwise be entitled to receive pursuant to the other subsections of Section 6.3. 3) Class B BTC Transaction Distributions. Distributable Cash from Class B BTC Transactions that Manager, in its sole and absolute discretion, pursuant to Section 6.2 of the Operating Agreement, elects not to reinvest in BTC, shall be distributed in the following order of priority: a) First, one hundred percent (100%) to the Class B Members, pro rata in accordance with their respective Class B Percentage, until the aggregate Distributions under Section 6.3(a), Section 6.3(b),

	Section 6.3(c), and Section 6.3(d) of the Operating Agreement shall have reduced the Unreturned Class B Capital to zero. For the avoidance of doubt, once the Unreturned Class B Capital has been reduced to zero, no further preferred return shall accrue. b) Second, to the extent not previously distributed pursuant to Section 6.3(a). Section 6.3(b), Section 6.3(c), and Section 6.3(d) of the Operating Agreement, a cumulative, non-compounded preferred return of 8.0% per annum on the Unreturned Class B Capital, determined on the basis of a year of 365 or 366 days, as the case may be, for the actual number of days occurring in the period for which the preferred return is being determined, and based on the average daily balance of the Unreturned Capital of a Class B Member, from time to time, during the period to which the preferred return relates, commencing on the later of (i) the day on which the Class B Member first makes a Capital Contribution; and (ii) the date of this Agreement. c) Thereafter, all remaining Distributable Cash from Class B BTC Transactions, shall be Distributed fifty percent (50%) to the Class B Members *pro rata* in accordance with their respective Class B Percentage, and fifty percent (50%) to the Class M Member. d) Notwithstanding anything in Section 6.3 to the contrary, if the Fund invests in additional BTC or real estate using borrowed funds for which the BTC held on behalf of the Class B Members is used as collateral, any Distributions from Distributable Cash resulting from the sale of such additional BTC or real estate shall be Distributed fifty percent (50%) to the Class B Members, *pro rata* in accordance with their respective Class B Percentage and fifty percent (50%) to the Class M Member. For the avoidance of doubt, any Distributions to a Class B Member pursuant to Section 6.3(c)(iv) shall reduce dollar-for-dollar the amount such Member would otherwise be entitled to receive pursuant to the other subsections of Section 6.3. 4) Class D BTC Transaction Distributions. Distributable Cash from Class D BTC Transactions that Manager, in its sole and absolute discretion pursuant to Section 6.2, elects not to reinvest in BTC, shall be distributed in the following order of priority: a) First, one hundred percent (100%) to the Class A and Class B Members pro rata in accordance with their respective Class A Percentage (which is the same as their respective Class B Percentage) until the aggregate Distributions under Section 6.3(a), Section 6.3(b), Section 6.3(c) and Section 6.3(d) of the Operating Agreement, shall have reduced the Unreturned Capital of all Class A and Class B Members (both Unreturned Class A Capital and Unreturned Class B Capital) to zero. b) Second, to the extent not previously distributed pursuant to Section 6.3(a), Section 6.3(b), Section 6.3(c) and Section 6.3(d),

	a cumulative, non-compounded preferred return of 8.0% per annum on the Unreturned Capital of Class A and Class B Members, determined on the basis of a year of 365 or 366 days, as the case may be, for the actual number of days occurring in the period for which the preferred return is being determined, and based on the average daily balance of the Unreturned Capital of a Class A and Class B Member, from time to time, during the period to which the preferred return relates, commencing on the later of (i) the day on which the Class A and Class B Member first makes a Capital Contribution; and (ii) the date of the Agreement. c) Third, fifty percent (50%) to the Class D Members *pro rata* in accordance with their respective Class D Percentage, and fifty percent (50%) to the Class M Member (i.e., the Manager). d) Notwithstanding anything in Section 6.3 of the Operating Agreement to the contrary, if the Fund invests in additional BTC or real estate using borrowed funds for which the initial real property asset purchased by the Fund is used as collateral, any Distributions made from Distributable Cash resulting from the sale of such additional BTC or real estate shall be distributed fifty percent (50%) to the Class A Members and Class B Members, pro rata in accordance with their respective Class A Percentage (which is the same as their respective Class B Percentage) and fifty percent (50%) to the Class M Member. For the avoidance of doubt, any Distributions to Class A Members and Class B Members pursuant to Section 6.3(d)(iv) shall reduce dollar-for-dollar the amount such Class A Members and Class B Members would otherwise be entitled to receive pursuant to the other subsections of Section 6.3. 5) Deferral of Payments to the Class M Member. The Manager, in its sole and absolute discretion, may defer payment of any amounts to which the Class M Member would otherwise be entitled to receive pursuant to Section 6.3, and all such deferred amounts (if any) shall be due and payable to the Class M Member, in its sole and absolute discretion, upon any Capital Event or otherwise upon dissolution of the Fund pursuant to Section 13.2 of the Operating Agreement **The distribution provisions described herein and set forth in Section 6.1, Section 6.2 and Section 6.3 of the Operating Agreement are complex. Therefore, Investors who have questions about the distribution provisions described above should address such questions to the Manager at invest@cardonecapital.com before making any investment decision with respect to an investment in the Fund.**
In-Kind Distributions	The Manager does not currently anticipate that the Fund will make in-kind distributions, but the Fund may make in-kind distributions, including distributions of BTC, to investors from time to time in the Manager's sole

	and absolute discretion.
Distribution Withholdings	All Distributions payable to non-US Investors will be reduced by amounts required to be withheld and paid to the Internal Revenue Service (the "IRS") related to income allocated to such foreign Investors, but shall be treated, for all purposes, as being paid to such non-US Investor.
Allocations	Net income and net loss for each fiscal year will be allocated among the Members consistent with the described distribution provisions and the requirements of the Code, to target capital accounts to match the distribution waterfall set forth above.
Fund Expenses	The Fund will be responsible for all expenses of the Fund (including, but not limited to, reimbursement of all out-of-pocket expenses incurred by the Manager and its Affiliates in connection with the Fund's business), including, but not limited to, expenses relating to its real estate investments (including legal and accounting fees and expenses, due diligence, broken deal expenses, and other transaction costs incurred in connection with its investments and possible investments), liability insurance, ongoing operating expenses of the Fund (including administrative, which includes legal and accounting fees and expenses), the Asset Management Fee, the Asset Acquisition Fee, the Asset Disposition Fee, the Financing Coordination Fee, and any extraordinary expenses. The Fund will also bear all expenses incurred in connection with its organization and its offering of Interests. Organization and offering expenses have been and will be incurred in relation to legal, accounting, consulting, marketing, printing, distribution, travel, meals, entertainment, conferences, due diligence costs, administrative, organizational and other expenses associated with raising capital, organizing, forming and marketing the Fund. Certain expenses associated with the reinvestment into BTC by the Class D Units will be paid by the Class D Units through withholdings from the funds that would otherwise be reinvested into the BTC. These Fund expenses will reduce amounts available for distribution to investors.
Management Fees	Asset Management Fee. The Manager or its designated affiliate(s) will receive an annual fee equal to one percent (1%) of the aggregate Capital Contributions. The Asset Management Fee payable after the date of admission or increase in the Capital Contribution of any Member subsequent to the Initial Closing shall reflect the Company's increased Capital Contributions calculated as if such Member had been admitted to the Company as of the Initial Closing with a Capital Contribution equal to each such Member's Capital Contribution immediately following such admission or increase. In all cases, the Asset Management Fees will be payable monthly, in arrears.

	Asset Acquisition Fee and Asset Disposition Fee. In addition, the Manager or its affiliate shall be entitled to a one percent (1%) Asset Acquisition Fee and a one percent (1%) Asset Disposition Fee on each asset in the Fund. The Asset Acquisition Fee and Asset Disposition Fee is based on the respective purchase price and sale price of the asset in question and payable at the closing of the acquisition or disposition of each asset of the Fund, as the case may be, or at such later time, in arrears, as the Manager may determine in its sole discretion. Financing Coordination Fee. The Manager or its affiliates shall be entitled to receive a financing coordination fee equal to one percent (1%) of the principal amount of each loan placed on the asset ("Financing Coordination Fee"), whether at the time of acquisition or pursuant to a refinancing. This Financing Coordination Fee will be in addition to any fees paid to third parties, such as mortgage brokers and lenders. Property Management Fee. The Manager and/or an affiliated or a third-party property manager will receive (in addition to reimbursement of expenses and costs) a property management fee for management of a property owned by the Fund at market rate (the approximate cost of property management services under present circumstances if such cost were negotiated at arms' length, as estimated by the Manager in good faith) calculated on the monthly gross income from such property, paid as an expense of such property. If the Fund engages a third-party property manager, a portion of the property management fee paid to such third-party property manager will be remitted to a designated affiliate of the Manager for assistance with the properties' marketing program, which are reported as a "marketing fee" in the Fund's financial statements. Construction and Broker Fees In addition, the Manager and/or its affiliates shall be entitled to (i) receive market rate fees and (ii) be reimbursed for all out-of-pocket costs for any construction, construction management and real estate brokerage fees with respect to such services provided to each such property. The Manager, in its sole and absolute discretion, may defer the payment of any fees due the Manager, including those described above, and the Manager, in its sole and absolute discretion, will receive all such unpaid fees prior to Investors receiving any distributions upon either a sale or financing of Fund Assets or upon liquidation of the Fund.
Parallel Fund	The Manager may, in its discretion and to the extent permitted by applicable law, create or sponsor partnerships or other vehicles that will be formed for participating pro-rata and *pari passu* in the assets of the Fund ("Parallel Fund"). The Parallel Fund may consist of certain investors who for a variety of reasons may not wish to participate in the investments through the Fund. Any costs associated with the formation and administration of a Parallel Fund will be paid by the investors in the Parallel Fund. The Manager or an affiliate will also act as the manager of the Parallel Fund unless such an arrangement were prohibited. The Parallel Fund will contain terms, rights, restrictions and obligations for its

	investors as the Manager may determine in its sole discretion, which may include terms that are more favorable than the terms offered to the Investors. No Parallel Fund shall at any time sell, exchange, transfer or otherwise dispose of an interest in an asset that was acquired as a co-investment with the Fund unless (i) the Fund and the Parallel Fund sell, exchange, transfer or otherwise dispose of, at substantially the same time, their interest in such asset, and the aggregate amount of such interest sold, exchanged, transferred or otherwise disposed of by the Fund and the Parallel Fund is allocated among the Fund and the Parallel Fund pro rata in proportion to the aggregate amounts respectively invested by the Fund and the Parallel Fund on such asset; and (ii) the terms of such rate, exchange, transfer or other disposition, except to the extent necessary to address regulatory or other legal considerations, are substantially the same as those applicable to such rate, exchange, transfer or other disposition by the Fund at such time.
Special Purpose Entities	In the Manager's sole and absolute discretion, the Fund may use special purpose entities as subsidiaries, including corporations, limited liability companies and limited partnerships to make and hold investments, and the Fund may sell or contribute Fund Assets to entities (including but not limited to a pre-IPO vehicle, public company or one or more umbrella partnership real estate investment trusts) managed, owned, controlled by, or affiliated with, the Manager, its principals or any affiliate of the foregoing. The Manager may also cause the Fund to invest through corporations, limited liability companies, limited partnerships, joint ventures (both with third parties and affiliates of the Manager or its principals), or other arrangements (including, specifically, any pre-IPO vehicle, public company or one or more umbrella partnership real estate investment trusts) managed, owned, controlled by, or affiliated, with any of the Manager, its principals or any affiliate of the foregoing in which the Fund has an economic interest and where such arrangements are reasonably expected to preserve in all material respects the overall economic relationship of the Members.
Co-Investment Opportunities	The Manager may provide any person with the opportunity to co-invest with the Fund in a particular investment on such terms as the Manager may determine in its sole discretion, which may include terms that are more favorable than the terms offered to the Investors. The Manager has complete discretion to make such offer to any person, including the Manager, any affiliate or employee thereof, any Member or any third party, and in such proportions as the Manager determines in its sole discretion, and the Manager may allocate such portion of an investment opportunity to a co-investment vehicle as the Manager determines in its sole discretion.
Authority to Cause Roll-Ups	The Manager may, in its sole and absolute discretion, cause the Fund to participate in a consolidation, merger, conversion, transfer of assets, contribution, or other similar transaction (each, a "Roll-Up Transaction") with one or more other real estate investment vehicles, funds, syndications, partnerships (each a "Combined Entity"), or other entities, including transactions structured under Section 721 of the Code as a

	contribution or exchange of either the Fund's investments or the equity interests owned by a Subsidiary that holds one or more of the Fund's investments in exchange for limited partnership interests, membership interests, or other equity interests, in a subsidiary of a REIT (an "UPREIT") or a subsidiary of a corporation that does not elect REIT status (an "UP-C") , including a limited partnership, limited liability company or other entity. The contribution transaction can include contributions to REITs or UP-C's controlled or affiliated with the Manager and/or by making Amendments to this Operating Agreement as part of such transaction. In effectuating a Roll-Up Transaction, the Manager will use reasonable efforts to structure the Roll-Up Transaction in a manner that does not result in a material adverse tax consequence to any Member, and will seek to provide a reasonable mechanism that preserves the tax-deferred status of such Member's investment to the greatest extent practicable (including, but not limited to, use of tax deferred contribution transactions with a like-kind exchange structure such as a an UPREIT, an UP-C structure, a Delaware Statutory Trust, or a Tenant in Common Agreement). The maintenance and allocation among the Members of appropriate levels of debt to shield Members from recognizing gain shall be considered a reasonable mechanism to preserve the tax-deferred nature of the Roll-Up Transaction. While the Manager will seek to structure the Roll-Up Transaction on a tax-deferred basis to the Members, no assurance can be given that such efforts will be successful, and in such case, the Roll-Up Transaction may result in certain Members recognizing taxable gain as a result of the transaction.
Potential Sale of Assets to the Fund	The Manager, in its discretion, may have the Fund purchase assets of the Manager's Affiliates and other funds established by the Manager at "fair market value" established by an independent third party if such investments satisfy the investment criteria of the Fund.
Sale of Fund Investments to Affiliates or other Manager Funds	The Fund may, in certain instances, if determined appropriate by the Manager in its sole and absolute discretion, sell Fund properties either to Affiliates of the Manager or to other funds established by the Manager at "fair market value" established by an independent third party.
Transferability of Membership Interest	Interests in the Fund may not be directly or indirectly sold, transferred, assigned, pledged or encumbered in whole or in part (whether voluntarily, involuntarily or by operation of law) without prior written approval of the Manager, which may be withheld in the Manager's sole and absolute discretion. The transferability of Interests is also restricted under the Securities Act.
Removal of Manager; Withdrawal of Manager	The Manager may not be removed by the Members. The Manager may, however, voluntarily withdraw from the Fund and substitute in its stead a successor manager.
Fund Structure	The Fund expects to be classified as a "partnership" for federal income tax purposes. The Fund will own substantially all its investments directly or indirectly through one or more holding companies. The Fund does not

	anticipate holding any of its investments directly or indirectly through a subsidiary real estate investment trust, but may do so if, in the Manager's sole discretion, it is in the Fund's best interest to do so.
Income Tax Considerations	Provided that the Fund is treated as a partnership for federal income tax purposes, the Fund generally will not be subject to federal income tax, directly, but rather each Member of the Fund will be required to include in computing its federal income tax liability its allocable share of the items of income, gain, loss, deduction and credit of the Fund, regardless of whether any distributions have been made by the Fund to that Member. The Fund will not implement procedures to avoid or minimize the impact of "unrelated business taxable income" (or "UBTI") to tax-exempt Investors. Prospective investors are urged to review the discussion herein under the heading "**Certain U.S. Federal Income Tax Considerations**" and to consult with their own tax advisors regarding the specific consequences to them of holding an Interest.
Use of Alternative Vehicles	The Manager may cause the Fund to create, in its discretion, any compliant alternative investment vehicles.
ERISA	The Fund does not intend to have twenty-five percent (25%) or more of the Capital Commitments made by "benefit plan investors," including employee benefit plans subject to the Employee Retirement Income Security Act of 1974, as amended ("ERISA"), IRA's or other "plans" subject to Section 4975 of the Code, or entities that hold the plan assets of such plans. Thus, in reliance on the less than twenty-five percent (25%) "benefit plan investors" exception under the applicable ERISA regulations, the Fund does not intend for the Fund's assets to be treated as "plan assets" under ERISA. However, if necessary to avoid the Fund's assets being treated as "plan assets" under ERISA, the Fund may take advantage of another plan assets exception, such as the "real estate operating company" exception, or to take whatever other action it deems necessary to avoid its assets being treated as "plan assets" under ERISA.
Exculpation; Indemnification	**Exculpation**. The Manager, its affiliates, officers, employees, members, managers and agents (the "Indemnified Parties") shall not have any liability to the Fund or its Members for any action (or inaction) which is undertaken (or omitted) in connection with such Indemnified Party's performance of its duties under the Operating Agreement or to the Manager or its affiliates in connection with the Fund's business, unless such act or omission was performed or omitted fraudulently or in bad faith.
	Indemnification. The Indemnified Parties shall be indemnified by the Fund against losses, judgments, expenses, etc. with respect to acts and omissions taken on behalf of the Fund, unless such act or omission was primarily attributable to an act or omission constituting fraud or bad faith. All indemnities shall be paid, first, from the Fund's assets and, if the assets of the Fund are insufficient to fully satisfy any such obligation, then

	from the return of member distributions (on a *pari passu* basis and in the proportion to Member's respective Capital Contributions). The Fund will be obligated and liable to pay indemnification obligations pursuant to the governing documents for any subsidiaries established by the Fund, and the Fund shall make disbursements (on such pro rata basis) to such subsidiaries as necessary to pay such indemnification obligations.
	Expense Advancement. Indemnification expenses shall be advanced and paid when due (even if prior to a final determination of availability of indemnification), provided that (i) the claimant is not a Member (other than the Manager or any affiliate of the Manager with respect to any interest it owns as a Member) and (ii) the claimant covenants to repay such funds advanced if it is finally determined that indemnification is not available for such claimant.
	Insurance. At the Fund's expense, the Manager may cause the Fund to purchase insurance coverage for acts for which indemnification would be available, including coverage for the Indemnified Parties.
	Reliance on Professionals. The Manager, its officers and Affiliates shall have no liability for acts taken upon the advice of counsel that such acts were permissible under governing documents and applicable law. To the extent any decision or determination has been made in reliance upon such advice, such decision or determination shall be deemed to have been made without bad faith or fraud for purposes of applying the provisions of the Operating Agreement.
Additional Capital Contributions	In addition to a Member's initial Subscription, at any time after the Final Closing of the Offering of Units, the Manager may, in its sole discretion, require all Members (other than Members affiliated with the Manager) to advance capital, pursuant to one or more capital calls, in the aggregate of up to ten percent (10%) of such Member's Capital Commitment within ten (10) days, or less, of such capital call being made. In the event a Member fails to make any required Additional Capital Contribution, the other Members may, but shall not be required to, make a loan to the defaulting Member (each such loan, a "Contribution Default Loan") by funding their pro rata portion of the defaulting Member's unfunded capital on the defaulting Member's behalf.
Member Withdrawal Rights	No Member may withdraw from the Fund without the Manager's written consent. The Manager has sole discretion to withhold consent.
Books and Records	Members or their authorized representatives shall at all reasonable times and for any purpose reasonably related to the business and affairs of the Fund and their interest therein have access to the Fund's books and records.
Reports	The Fund's books shall be on the accrual basis for book purposes as set forth in the Operating Agreement. Financial Statements will be prepared annually within 120 days following the Close of each taxable year and will be available upon request. Reports regarding the individual

	investments will be periodically provided to the Members.
Side Letters	The Manager may, in its sole discretion, enter into agreements on behalf of the Fund that modify or supplement a Member's rights and obligations with respect to its investment in the Fund (each such agreement, a "Side Letter"). The Manager may grant concessions to any unaffiliated investor pursuant to a Side Letter in its sole and absolute discretion.
Amendments	The Operating Agreement may be modified by the Manager at its discretion; provided, however: • The Operating Agreement may be modified with respect to a Critical Element only with the written consent of the Manager and the Investor Members holding a majority of the Membership Units, except in the case of a Roll-Up Transaction in which the Manager may make any needed amendments unilaterally. Critical Elements include: (i) the purpose of the Fund; (ii) any material change to fee structure and compensation being paid to the Manager and/or Affiliates (if such compensation is increased); (iii) the mechanisms for replacement and/or removal of the Manager and the selection of a replacement Manager and; (iv) changes to provisions, to the extent they materially and adversely affect the economic rights of the Investor Members, related to: distributions; powers, rights, fees and duties of the Manager; and voting rights of the Investor Members. • Furthermore, no amendment to this Agreement may: (i) impact disproportionately and negatively any particular class of Units without the consent of Members holding a majority of that class of Units; (ii) modify the limited liability of a Member without the consent of each affected Member; (iii) amend or modify any provision that would further restrict the transferability of a Member's Interest without the consent of all of the Members; or (iv) amend any provision which requires the consent, action, or approval of a specified set or percentage of the Members without the consent of such specified set or percentage of the Members.
Use of Professionals and Service Providers	The Manager may, in its sole discretion, engage affiliated professionals and service providers or outside professionals and service providers on behalf of, and at the expense of, the Fund on arm's-length terms. When affiliates are engaged, the transaction shall be on arm's- length terms. No professional or other service provider will be disqualified from providing services to the Fund or its affiliates because of the provision of services by such professional or service provider to the Manager or its affiliates, whether related to the Fund's business or other activities.
Governing Law	The Fund's Operating Agreement will be governed by the laws of the State of Delaware.

CERTAIN INVESTMENT CONSIDERATIONS

Prospective Investors should carefully consider the following risk factors, together with all the other information, including all other risk factors and conflicts of interest relating to an investment in the Fund, including those set forth in this Memorandum, before deciding to subscribe for Interests. Because of these factors, as well as other risks inherent in any investment, there can be no assurance that the Fund will be able to meet its investment objectives or otherwise can successfully carry out its investment program. The risks described below are not the only risks relating to an investment in the Fund and other risks also may adversely affect an investment in the Fund.

General Investment Risks

Business Risks. The success of the Fund depends upon the ability of the Manager to identify, select and consummate investments that will offer superior returns. The availability of such opportunities will depend, in part, upon general market conditions. The business of identifying and structuring transactions is highly competitive and involves a high degree of uncertainty. Even if the Manager identifies attractive investment opportunities, there can be no assurance that the Fund will be permitted to invest in such opportunities. As a result, it is possible that the Fund might never be fully invested. However, Members will be required to pay management fees based on the entire amount of their Capital Contributions. No assurance can be given that the Fund's investment will generate any income or will appreciate in value. A detailed description of the Property the Fund intends to purchase with the funds raised by this Offering is being made available to Investors simultaneously with this Memorandum.

Past Performance Not a Predictor of Future Results. The track record of the Manager, its affiliates and any real estate companies they have managed should not be assumed to imply or predict, directly or indirectly, any level of future performance of the Fund. The performance of the Fund is dependent on future events and is, therefore, inherently uncertain. Past performance cannot be relied upon to predict future events for a variety of reasons, including, without limitation, local and national economic circumstances, supply and demand characteristics, degrees of competition and other circumstances pertaining to capital markets.

Inability to Achieve Targeted Rate of Return. The Fund will make investments based on the Manager's estimates or projections of internal rates of return and current returns, which in turn are based on, among other considerations, assumptions regarding the performance of the investments, the amount and terms of available financing and the manner and timing of dispositions, including possible asset recovery and remediation strategies, all of which are subject to significant uncertainty. In addition, events or conditions that have not been anticipated may occur and may have a significant effect on the actual rate of return received on the investments.

Lack of Operating History. The Fund is a newly organized entity and accordingly, has no operating history upon which prospective Investors can evaluate the Fund's likely performance. Although the Fund's management team has experience in acquiring, developing, asset managing, operating, financing and disposing of real estate and is currently managing similar funds, there can be no assurance that the performance of those activities will be reflective or indicative of the future performance of this Fund. Additionally, even though Mr. Cardone has extensive experience in the real estate sector, the Fund is the first investment offering undertaken by either Mr. Cardone or the Manager's other senior leadership involving BTC, and the Manager has limited experience in investing in BTC and other digital assets.

Competition for Investments. The activity of identifying, completing, and realizing attractive acquisitions of real estate assets in the Fund's targeted property types is highly competitive. The Fund will compete for these opportunities with many other real estate investors, including public and private REITs, other real estate funds, and institutional investors. These competitors may have more experience, more resources and may be willing to accept more risk than the Fund. This competition may increase prices, reduce returns,

and eliminate investment opportunities.

There can be no assurance that the Fund will be able to locate and acquire investments that satisfy its investment objectives.

Lack of Diversification. Even though the Fund anticipates investing in BTC, the Manager anticipates that, initially, the majority of Fund Assets will be concentrated in real estate. The Fund will have a limited number of investments, and the lack of diversification of the Fund investments may arise in several different ways. The Fund's real estate investments, while limited to the United States, will focus on the Sunbelt. This lack of geographic diversification could increase the risk of the Fund depending on pricing and other economic factors in those parts of the country. In addition, to the extent the investments involve multiple properties in a specified location, diversity is also impacted. There is no certainty as to the number of investments the Fund will make or the diversification of the Fund's assets. A limited degree of diversification increases risk because, therefore, the aggregate return of the Fund may be substantially adversely affected by the unfavorable performance of even a single investment. In addition, the diversification of the Fund's investments could be even further limited to the extent the Fund invests a significant portion of its capital in a transaction and is unsuccessful in refinancing a portion of that investment.

Investment Policies and Strategies. The Fund may not meet its stated investment strategy and goals, and the Manager has the right to vary from its strategy and policies if it determines it is in the best interests of the Fund, subject to the terms of the Operating Agreement.

Investor Failure to Fund Capital Commitment. If one or more Investors fail to fund their capital commitment obligations when due, the Fund's ability to complete its investment program or otherwise to continue operations may be substantially impaired. A default by one or more Investors who have made Commitments could limit the Fund's opportunities for investment diversification and reduce returns to the Fund.

Reliance on Key Persons. The ability of the Manager to manage the Fund's affairs currently depends on the management team, including the Manager's principal, Grant Cardone. There can be no assurance that the members of the management team will remain affiliated throughout the term of the Fund or otherwise can continue to carry on their current duties throughout such term. The inability to recruit and hire replacement or additional key personnel as needed could have a material adverse effect on the Fund's operations.

Co-Investments. This Fund may co-invest with other parties, including the Manager, its affiliates, any other funds sponsored by the Manager or its affiliates when and on such terms as the Manager deems appropriate. In such co-investment transactions, the terms of investment of the Fund, the Manager or its affiliates may not be identical, and may include situations where the Manager or its affiliates receive returns or fees from such other parties which differ from those received from the Fund. Co-investment opportunities may not be determined through arm's length negotiations with the Fund. The Fund will not be obligated to provide co-investment opportunities (or provide any concessions granted to any other Investor upon becoming a Member) to any Investor because such opportunity was made available to any other Investor.

General Economic and Other Conditions. The Fund's property values may be adversely affected from time to time by such matters as changes in general economic, industrial and commercial conditions, changes in taxes, prices and costs and other factors of a general nature that are beyond the control of the Fund. The values are also impacted by the availability and cost of credit, the U.S. mortgage market and global economic issues.

No Right to Remove the Manager. The Investors have no right to remove the Manager.

Absence of Recourse against the Manager. The Operating Agreement limits the circumstances under which the Manager, and its respective affiliates, and their respective officers, directors, members, Members, shareholders, employees, and consultants or agents can be held liable to the Fund or its Investors. Thus, Investors may have a more limited right of action in certain cases than they would in the absence of this provision.

Lack of Control by Investors. Investors will not have an opportunity to evaluate the investments made by the Fund or the terms of any investment. Investors should expect to rely solely on the ability of the Manager to make appropriate investments for the Fund and to appropriately manage and dispose of the investments. The business of the Fund will generally be managed by the Manager who will have significant discretion in managing the Fund's business. Investors should consider themselves passive investors in terms of directing or otherwise influencing any investment decision made by the Manager from time to time. The rights and obligations of Investors will be subject to the limitations set forth in the Operating Agreement and except for the rights specifically reserved to them by the Operating Agreement and applicable law, Investors will have no part in the management and control of the Fund.

Lack of Marketability. There are significant restrictions on the ability to sell or transfer an Interest in the Fund. There is no public market for the Interests, and, in addition, the Interests are being sold in reliance upon exemptions from registration under the Securities Act and applicable state securities laws. Thus, the Interests may not be sold unless they are subsequently registered under the Securities Act and applicable state securities law, if so required, or unless an opinion of counsel or other evidence satisfactory to the Manager is obtained that states that registration is not required. In addition, any sale, transfer, assignment or pledge of an Interest in the Fund must be approved by the Manager which may be withheld in the Manager's sole and absolute discretion. Because of those restrictions, Investors may not be able to liquidate their investment in the case of emergency or otherwise. The restrictions may also influence the price an Investor would receive if a transfer were to occur.

Liability of Members for Repayment of Certain Distributions. Under Delaware law (applicable to an investment in the Fund), if an Investor has knowingly received a distribution from the Fund at a time when its liabilities exceed the fair market value of its assets after giving effect to the distribution, the Investor is liable to the Fund for a period of three years thereafter for the distribution. If the Fund is otherwise unable to meet its obligations, the Investors may, under applicable law, be obligated to return, with interest, cash distributions previously received by them to the extent such distributions are deemed to constitute a return of their capital contributions or are deemed to have been wrongfully paid to them. In addition, an Investor may be liable under applicable Federal and State bankruptcy or insolvency laws to return a distribution made during the Fund's insolvency.

Conflicts of Interest. An investment in the Fund involves several inherent or potential conflicts of interest, which prospective Investors should carefully consider before subscribing for Interests.

The Fund may borrow money from affiliates of the Manager, including, but not limited to, purchase mortgages, refinance mortgages and construction lines of credit. In such event, such affiliates will receive compensation from the Fund for providing loans. Such loans, if any, will be on terms that the Manager believes to be no less favorable to the Fund than generally available from third parties; however, loan terms will be established by the Manager and not as a result of arm's length negotiations.

Investors should note that the Manager will receive asset management fees and has the right to defer such asset management fees, in whole or in part, as to any monthly payment period, to such other periods as the Manager may determine. The Manager and its affiliates may also receive other fees for services provided to the Fund and the respective properties including, without limitations, market rate fees for property management, construction and construction management, and real estate brokerage fees along with fees for arranging debt financings provided by third parties.

The Manager or its affiliate is entitled to a one percent (1%) Asset Acquisition Fee and a one percent (1%) Asset Disposition Fee on each asset in the Fund. The Asset Acquisition Fee and Asset Disposition Fee are based on the respective purchase price and sale price of the asset in question and payable at the closing of the acquisition or disposition of each asset of the Fund, as the case may be, or at such later time, in arrears, as the Manager may determine in its sole discretion.

The Manager is entitled to a carried interest distribution. This provision, based as it is on performance rather than strictly on the amount of capital under management, could have the effect of creating an incentive for it to make investments that are riskier or more speculative than would be the case in the absence of performance-based compensation.

The Manager and, at their option, Members, may make advances to the Fund prior to the Initial Closing to assist in the financing of an investment of the Fund. As described in "Summary of Fund Terms-Pre-Initial Closing Financing", this bridge financing may be secured or unsecured financing and will be treated as either equity or debt.

The Manager or its affiliates shall be entitled to receive a financing coordination fee equal to one percent (1%) of the principal amount of each loan placed on the asset ("Financing Coordination Fee"), whether at the time of acquisition or pursuant to a refinancing. This Financing Coordination Fee will be in addition to any fees paid to third parties, such as mortgage brokers and lenders. The Manager may defer any or all of any Financing Coordination Fees at its discretion.

The Manager and/or an affiliated or a third-party property manager will receive (in addition to reimbursement of expenses and costs) a property management fee for management of a property owned by the Fund at market rate (the approximate cost of property management services under present circumstances if such cost were negotiated at arms' length, as estimated by the Manager in good faith) calculated on the monthly gross income from such property, paid as an expense of such property. If the Fund engages a third-party property manager, a portion of the property management fee paid to such third-party property manager will be remitted to a designated affiliate of the Manager for assistance with the properties' marketing program, which are reported as a "marketing fee" in the Fund's financial statements. Such property management agreements will be on terms that the Manager believes to be no less favorable to the Fund than generally available from third parties; however, in the case of the services being provided by the Manager and/or an affiliated party, the terms will be established by the Manager and not as a result of arm's length negotiations.

In addition, the Manager and/or its affiliates shall be entitled to (i) receive market rate fees and (ii) be reimbursed for all out-of-pocket costs for any construction, construction management and real estate brokerage fees with respect to such services provided to each such property.

The principal and senior executives of the Manager also provide services to other affiliates of the Manager. The principal and senior executives of the Manager may devote significant time in the future to the management of its other existing investments and professional activities. No restrictions are placed upon the Manager or its affiliates with respect to existing real estate investments or non-real estate investments separate and apart from the Fund. Further, the Manager and its affiliates and principal may purchase property that meets the Fund's investment criteria to complete a Section 1031 like-kind exchange with respect to any properties owned by the Manager or its affiliates and principal.

The Manager may also engage in various transactions on behalf of the Fund in which the interests of the Manager or its affiliates may differ materially from the interests of investors in the Fund. These transactions may include, but not be limited to the creation or sponsorship of partnerships or other vehicles that will be formed for participating pro rata and pari passu in the portfolio companies of the Fund; the use of special purpose entities as subsidiaries to make and hold investments, and the sale or contribution of Fund Assets

to entities (including but not limited to a pre-IPO vehicle, public company or one or more umbrella partnership real estate investment trusts) owned or controlled by the Manager, its principals or any affiliate of the foregoing).

The Manager, in its sole discretion, has the authority, without needing the consent of the Fund's Members, to elect to hold all or a substantial portion of the Fund's investments through subsidiaries, or other entities that qualify as a REIT under the Code or through an UP-C entity, which election could significantly affect the economic performance of the Fund.

Under the terms of the Fund's operating Agreement, the Manager may, in its sole and absolute discretion, cause the Fund to participate in a consolidation, merger, conversion, transfer of assets, contribution, or other similar transaction (each, a "Roll-Up Transaction") with one or more other real estate investment vehicles, funds, syndications, partnerships (each a "Combined Entity"), or other entities, including transactions structured under Section 721 of the Code as a contribution or exchange of either the Fund's investments or the equity interests owned by a Subsidiary that holds one or more of the Fund's investments in exchange for limited partnership interests, membership interests, or other equity interests, in a subsidiary of a REIT structured as an UPREIT or a subsidiary of an UP-C entity, including a limited partnership, limited liability company or other entity. The contribution transaction can include contributions to UPREITs or UP-C's controlled or affiliated with the Manager and/or by making Amendments to this Operating Agreement as part of such transaction. In effectuating a Roll-Up Transaction, the Manager will use reasonable efforts to structure the Roll-Up Transaction in a manner that does not result in a material adverse tax consequence to any Member , and will seek to provide a reasonable mechanism that preserves the tax-deferred status of such Member's investment to the greatest extent practicable (including, but not limited to, use of tax deferred contribution transactions with a like-kind exchange structure such as a an UPREIT, an UP-C structure, a Delaware Statutory Trust, or a Tenant in Common Agreement). The maintenance and allocation among the Members of appropriate levels of debt to shield Members from recognizing gain shall be considered a reasonable mechanism to preserve the tax-deferred nature of the Roll-Up Transaction. While the Manager will seek to structure the Roll-Up Transaction on a tax-deferred basis to the Members, no assurance can be given that such efforts will be successful, and in such case, the Roll-Up Transaction may result in certain Members recognizing taxable gain as a result of the transaction.

Prior to a Roll-Up Transaction, each Member owns interests in the Fund and the Fund owns its investment properties, either directly or indirectly. After the Roll-Up Transaction, each Member will still own interests in the Fund, but the Fund would then own a pro-rata portion of the limited partner interests ("Op Units") of the Operating Partnership based on the value of the Fund's investment properties, as compared to the total value of all investments held by the UPREIT or UP-C entity. As a result of the Roll-Up Transaction, the Members' interests will transition from owning an indirect pro-rata portion of the Fund's investment properties to owning an indirect pro-rata portion of the Operating Partnership's total investment properties, which as a collective, will have larger aggregate cash flows with the potential to spread financial volatility risk by shifting reliance from the Fund's investment properties financial performance to a significantly larger number of properties held by the UPREIT or the UP-C entity. Following the Roll-Up Transaction, the number and value of the Operating Partnership's investment properties may increase or decrease over time. Accordingly, the value of the Fund's (and correspondingly, each Members') OP Units after the Roll-Up Transaction will depend on the total value of the Operating Partnership's then current investment properties, rather than the value of the Funds' investment properties.

In the future, the UPREIT or the UP-C entity may acquire additional properties or portfolios of properties through tax deferred contribution transactions in exchange for common or preferred units of limited partnership interest in the Operating Partnership, which may result in dilution of the Fund's interest in the UPREIT or the UP-C entity. This acquisition structure may also have the effect of, among other things, reducing the amount of tax depreciation that the UPREIT or UP-C entity could deduct over the tax life of the acquired properties, and may require that the UPREIT or the UP-C Entity agree to protect the

contributors' ability to defer recognition of taxable gain through restrictions on our ability to dispose of the acquired properties and/or the allocation of partnership debt to the contributors to maintain their tax bases. These restrictions could limit our ability to sell an asset at a time, or on terms, that would be favorable absent such restrictions

While this structure would provide investors in the Fund with an investment in a more diversified portfolio, it would subject the investors in the Fund to the economic volatility of the real estate investments held by the UPREIT or the UP-C entity that were contributed or purchased from other third-party owners. The inferior performance of such other property investments held by the UPREIT or the UP-C entity, could cause a strain on the UPREIT's or the UP-C entity's cash flow causing the UPREIT or the UP-C entity to have to lower the amount of distributions to the Fund thereby lowering the Members' investment return.

The authority of the Manager to enter into a Roll-Up Transaction without the requirement to seek approval by the Members gives the Manager very broad authority to alter the structure through which the Funds' investments are held, which change could have an adverse effect on the economic performance of the Fund.

Management of Investment Property. The Manager may engage affiliates of the Manager to manage certain operations of the investments under management agreement(s) from which they will be paid a fee for its management and/or administrative services. Accordingly, Investors must carefully evaluate the personal experience and business performance of such management team.

Lack of Sufficient Funding. The success of the Fund and the Manager's ability to implement its business strategy are dependent upon the Fund's ability to raise capital. If the Fund is unable to raise sufficient capital, it may not be able to carry out all its planned acquisitions. If that were the case, the Fund would have to be more reliant upon outside financing or third parties to complete its business plan. As an alternative, the Fund may reduce the number of planned acquisitions and thereby limit its diversification.

Phantom Income. Although it is intended that distributions will be made on a regular basis, there can be no guaranty that that will be the case. Furthermore, those that elect to hold Class D Units or Subsequent Class Units are electing not to receive distributions in cash. Accordingly, it is possible that Members in the Fund could be allocated taxable income in a given taxable year without corresponding distributions of cash or property by the Fund to pay such tax liabilities.

Risks Inherent in Real Estate Investments Generally

General Risks. The Fund will be subject to risks incident to the ownership of real estate, including: changes in general economic or local conditions that reduce the attractiveness of the Fund's properties; fluctuation in occupancy rates, operating expenses and rental schedules; costs associated with the need to periodically repair, renovate and re-lease space, withdrawal of residents and difficulty replacing residents; resident defaults; changes in supply or demand of competing properties in an area, such as an excess supply resulting from over-building; changes in interest rates, zoning and other governmental regulations and availability of permanent mortgage funds that may render the sale of a property difficult or unattractive; increases in maintenance, insurance and other operating costs, including real estate taxes, associated with one or more properties, which may occur as other circumstances such as market factors and competition cause a reduction in revenues from such properties; inflation; changes in tax laws and rates.

Economic Conditions. The global impact of the outbreak of COVID-19 has been widespread and many countries have reacted by instituting quarantines and restrictions on travel, closing financial markets and/or restricting trading, and limiting operations of non-essential businesses. Such actions have created disruption in global supply chains and have adversely impacted many industries. Although vaccines for COVID-19 have been made available to the general public in the U.S. and in many places around the world, vaccination rates vary and may lose effectiveness without boosters and the outbreak could have a continued adverse

impact on economic and market conditions.

Another outbreak of COVID-19 or other pandemic may have an adverse impact on our results of operations, cash flows and fundraising, and may have an adverse impact on the ability to source new investments, obtain financing, and fund distributions to investors, among other factors. Although many or all facets of the business of the Fund have been or could in the future be impacted by COVID-19 or other pandemics, the following are among the most important:

- The Fund is subject to risks related to increases in rent defaults, rent deferral or rent forgiveness and decreases in rent collection. The Fund may experience rent deferrals and decreased rent collection in the future as a result of COVID-19 or other pandemic. The Fund may not be able to promptly lease properties that are vacant or become vacant because a tenant defaults or decides not to renew its lease, resulting in reduced occupancy at our properties, and the rental rates or other terms under new leases may be less favorable than the terms of the current lease.

- Fund properties face an increased risk of tenant defaults during disruptions in the labor market, resulting in high rates of unemployment, making it more difficult for some tenants to meet their rent obligations and for the Fund to retain tenants at then-current rental rates. The Fund may also, for economic or regulatory reasons, defer or forgive rent for certain tenants of its properties, in particular, where state and local requirements temporarily stay eviction proceedings.

Following economic downturns, the cycle of the real estate market typically recovers, and credit becomes more available. These factors make the valuation of real estate investments more difficult. Because there is a significant uncertainty in the valuation of, or in the stability of the value of, certain of the Fund's possible investments, fair values of such investments as reflected in the Fund's results of operations may not reflect the prices that the Fund would obtain if such investments were sold. Thus, there can be no assurance that real estate prices will stabilize in the near term or that the Fund will be able to select real estate investments that will generate the returns the Fund is targeting. If the next cycle in the real estate market is a downward turn, the Fund may also be required to hold illiquid investments for several years before any disposition can be affected at acceptable pricing.

Lack of Liquidity of Investments. The Fund's real estate investments will generally be highly illiquid compared to other asset classes. Given the nature of real estate investments, the Fund may be unable to realize its investment objectives by sale or other disposition at attractive prices within any given period or may otherwise be unable to complete any exit strategy for its investments. In some cases, the Fund may be prohibited by contract from selling investments for a period, or there may be contractual rights or obligations that may otherwise significantly affect price and/or liquidity. In addition, it is expected that investments will not be sold until several years after they are made. The types of investments held by the Fund may be such that they require a substantial length of time to liquidate. In the event a loan repayment or other funding obligation arises at a time in which the Fund does not have sufficient cash assets to cover such payment, the Fund may have to liquidate certain investments at less than their expected returns to satisfy the obligations related to other properties thereby, resulting in lower realized proceeds to the Fund than might otherwise be the case.

Due Diligence and Analytic Risks. There is generally limited publicly available information about real properties, and the Fund must therefore rely on due diligence conducted by the Manager and/or its affiliates about its acquisitions. Should the Manager's and/or its affiliates' pre-acquisition evaluation of the physical condition of each new investment fail to detect certain defects or necessary repairs, the ultimate investment cost could be significantly higher than originally expected. Furthermore, should the Manager's estimates of the costs of improving, repositioning or redeveloping an acquired property prove too low, or its estimates of the time required to achieve target occupancy prove too optimistic, the profitability of the investment may be adversely affected.

Joint Venture Risks. Instead of making investments directly, the Fund may join other parties to make investments through memberships, joint ventures, corporations, companies or other entities. Such investments may involve risks not present in wholly-owned investments, including for example, the possibility that a co-venturer or Member of the Fund might commit fraud, become bankrupt, or may have economic or business interests or goals which are inconsistent with those of the Fund, or that such Member or co-venturer may be in a position to take action contrary to the instructions or the requests of the Fund or contrary to the Fund's policies or objectives or otherwise have certain rights with respect to the investments, which may limit the Fund's ability to protect its position and make decisions with respect to its investments. In addition, in certain circumstances, the Fund may rely upon the joint venture Member for operational expertise, which reliance may ultimately not be justified. Furthermore, if such co-venturer or Member defaults on its funding obligations, it may be difficult for the Fund to make up the shortfall from other sources. Any default by such co-venturer or Member could have an adverse effect on the Fund, its assets, and the interests of the Investors. In addition, the Fund may be liable for actions of its co-venturers or Members. While the Manager will attempt to limit the liability of the Fund by reviewing qualifications and previous experience of co-venturers or Members, such action may not be sufficient to protect the Fund from liability or loss.

Resident Default. An individual resident default should not have a significant impact on the overall financial condition of an investment; however, a resident's default will impact cash flow and cause the Fund to incur legal costs and other costs not likely to be recouped. An unanticipated termination of a lease will also disrupt occupancy. In light of the current pandemic, there may be an increase in resident defaults and vacancies. Some state governments have also temporarily enacted restrictions against eviction proceedings against a defaulting resident.

Non-Renewal of Leases. The Fund's investments will be subject to the risks that, upon expiration, leases may not be immediately renewed or be re-leased, or the terms of renewal or re-lease, including the cost of required renovations or concessions, may be less favorable than current lease terms. In the event of any of these circumstances, cash flow from the Fund's real estate investments and, therefore, the value of an investment in the Fund, could be adversely affected.

Fixed and Variable Cost Risks. Many costs associated with a real estate investment, such as debt service and real estate taxes, are not reduced even when a property is not fully occupied, or other circumstances cause a reduction in income from the investment. These fixed costs increase the risk to the Fund of an unanticipated delay in achieving target occupancy of a new or redeveloped property. Some costs associated with a real estate investment, such as maintenance and repairs, may be subject to cost increases beyond the control of the Fund. Variable rate debt in a time of rising interest rates could also result in unanticipated cost increases.

Leverage Risks. The Fund may use a combination of equity and debt financing for its acquisition of assets; provided that the Fund will use commercially reasonable efforts to assure that total long-term leverage will not exceed, in the aggregate, eighty percent (80%) of the value of the Fund's assets. The degree of leverage could have important consequences to Investors, including limiting the ability of the Fund to obtain additional financing in the future for working capital, capital expenditures, acquisitions or other general corporate purposes and making the Fund more vulnerable to a downturn in business or the economy generally. The Fund may borrow on a short-term basis to facilitate the acquisition of assets. Such short-term debt would be expected to be repaid from the proceeds of a future issuance of equity or long-term debt securities. However, for reasons not always in the Fund's control, long-term securities may not be issued, and such short-term loan may remain outstanding. Further, the Fund may enter into a credit facility to finance investments or pay expenses. Thus, the Manager may assign certain of the Fund's rights with respect to Investor Capital Commitments, including the right to draw down such Capital Commitments. The use of a credit facility secured by such Capital Commitments will not be included in the leverage test for the Fund. Additionally, the Manager, in its sole and absolute discretion, may pledge assets (whether BTC or real

estate) acquired for the benefit of Members electing to reinvest their distributions as collateral for additional loans. In turn, the Manager, in its sole and absolute discretion, may use the proceeds from any such loan to buy additional real estate or BTC. The Manager's ability to leverage Fund Assets (including Fund Assets acquired with proceeds reinvested by Members) increases risk.

Loan Default Risks. The mortgage loan documents for the Fund's properties generally will contain customary covenants, such as requirements relating to the maintenance of the property securing the debt, restrictions on pledging and creating other liens on the property, restrictions on incurring additional indebtedness, restrictions on transactions with affiliates and in some cases periodic satisfaction of financial ratios. Failure by the Fund to make timely payments of principal and interest on mortgage loans or to observe these loan covenants could result in the declaration of a default by the lender. The consequences of a declaration of default include foreclosure of the mortgage, resulting in loss of both the property and the income it produces, the incurrence of substantial legal costs, the imposition of a deficiency judgment if the foreclosure sale does not result in proceeds sufficient to satisfy the mortgage, and potential adverse tax consequences to the Investors. In addition, if any loan contains cross-default provisions with other properties, a default under one loan could result in default under other loans and impact other properties.

Refinancing Risks. Mortgage loans on the Fund's properties may be subject to relatively short maturities, which may require refinancing before the properties are disposed of. There is no assurance that replacement financing can be obtained or, if it is obtained, that interest rates and other terms would be as favorable as for the original loans. Inability to refinance a loan on favorable terms may compel the Fund to attempt to dispose of the property or other properties on terms less favorable than might be obtained later.

Americans With Disabilities Act. Under the Americans with Disabilities Act of 1990, as amended (the "ADA"), all public accommodations and. commercial facilities must meet certain federal requirements related to access and use by disabled persons. Compliance with the ADA requirements could involve removal of structural barriers from certain disabled persons' entrances and expanded access to amenities. Other federal, state and local laws may require modifications to or restrict further renovations of properties with respect to such access. Noncompliance with the ADA or related laws or regulations could result in the imposition of governmental fines or the institution of claims by private plaintiffs. Costs such as these, as well as the general costs of compliance with these laws or regulations, may adversely affect the value of the Fund's properties.

Zoning and Environmental Laws. Governmental zoning and land use regulations may exist or be promulgated that could have the effect of restricting or curtailing certain uses of existing structures or requiring that such structures be renovated or altered in some fashion. Such regulations could adversely affect the value of any of the Fund's properties. In recent years, the value of real estate has also sometimes been adversely affected by the presence of hazardous substances or toxic waste on, under, or in the environs of the real estate. A substance (or the amount of a substance) may be considered safe at the time the real estate is purchased but later classified by law as hazardous. Under environmental laws, owners of properties have been liable for substantial expenses to remedy chemical contamination of soil and groundwater at their real estate even if the contamination predated their ownership. Although the Fund will use commercially reasonable efforts to assure that no real estate is acquired that gives rise to such liabilities, environmental contamination cannot always be detected through readily available means, and the possibility of such liability cannot be excluded.

Risk of Uninsured Losses. While the Fund intends to carry customary comprehensive liability and casualty insurance, certain disaster insurance (such as earthquake, wind and flood insurance) may not be available or may be available only at prohibitive cost. In addition, losses may exceed insurance policy limits, and policies may contain exclusions with respect to various types of losses or other matters. Consequently, all or a portion of the Fund's properties may not be covered by disaster insurance, and insurance may not cover all losses. Manager, in Manager's discretion shall have the right to elect not to purchase certain coverages

for certain risks and/or assets and elect the Fund to self-insure if in Manager's discretion, it is determined that coverage cannot be obtained on commercially reasonable terms.

Lack of Outside Due Diligence. Because the Manager and the Fund have elected not to utilize a managing broker-dealer for this offering, Investors will not have the benefit of an independent due diligence review and investigation of the type normally performed by an independent underwriter about a registered, firm commitment offering of securities. Investors will be required to conduct their own due diligence prior to making a commitment.

Contractors May Underestimate Bids. The Fund may develop or renovate assets. If needed, the Fund will hire contractors based on bids received for the cost of the renovations. The Fund may hire a contractor that underestimates the material and labor costs, the property could suffer from cost overruns which could adversely affect investments by Members.

Delays in Project May Occur. The Fund will not realize a profit until the Fund is cash flow positive. Therefore, if there are cost overruns or multiple unforeseen change orders, the Fund may not realize a return on investment which could adversely affect Members' investments.

Low Employment Rates Mean Fewer Buyers for the Property. If there is a fluctuation in employment rates the demand for the assets may not be as high as previously expected or hoped. This could adversely affect the Investors' investments.

Risks Related to Value-Added Properties

The Fund may seek higher returns by acquiring underperforming and value-added properties in need of better management, repositioning, physical improvements and other enhancements. Thus these properties may not generate positive cash flow (or may have a cash deficit and require significant cash). There may be unanticipated delays in, or increases in the cost of, improving or repositioning such properties which are beyond the control of the Manager. Further, there is no assurance the Manager and its affiliates will be successful in improving the cash results of the properties, as this depends in a significant part on a number of factors beyond the Manager's control, including general or local economic conditions, and demand for residential real estate in the local market. Thus, underperforming and value-added properties may pose greater investment risk than fully stabilized properties.

Risks Related to BTC and Digital Assets Generally

Capital Loss. Investment in Bitcoin is highly speculative. Because the Fund investment strategy entails buying and holding Bitcoin, there is an increased risk that Investors suffer a partial or total loss of capital.

*Cryptocurrencies and BTC Generally***.** Digital and cryptocurrencies and other crypto assets are fast evolving, relatively new technology. The methods whereby each digital asset is created, secured, accessed and used may differ from one asset to another. A general overview of the technology on which Bitcoin (or BTC), the oldest and most widely used digital asset, is based are set forth below. While the Fund does not currently contemplate investing or holding digital assets other than BTC, other digital assets or cryptocurrencies may possess similar or materially different risks and vulnerabilities than BTC. Investors are cautioned that investment experience with digital assets other than BTC may not be analogous to investment experience with BTC.

BTC is a decentralized digital currency that enables nearly instantaneous transfers to anyone, anywhere in the world. BTC holders manage BTC transactions via an open source, cryptographic protocol platform known as the BTC network, which uses peer-to-peer technology to operate autonomously. The BTC network is an online, end-user-to-end-user network that hosts the public transaction ledger, known as the

BTC blockchain, and the source code that comprises the basis for the cryptographic and algorithmic protocols governing the BTC network. No single entity owns or operates the BTC network, the infrastructure of which is collectively maintained by a decentralized user base.

To prevent the possibility of double-spending a single BTC, each transaction is recorded, time stamped and publicly displayed in a "block" on the publicly available BTC blockchain. Thus, the BTC network provides confirmation against double-spending by memorializing each and every transaction in the BTC blockchain, which is publicly accessible and downloaded, in whole or part. As the BTC network is decentralized, it does not rely on either governmental authorities or financial institutions to create, transmit or determine the value of BTCs. Rather, the value of BTCs is determined by the supply of and demand for BTCs. BTCs can be used to pay for goods and services or can be converted to fiat currencies, such as U.S. Dollars, at rates usually determined by various exchanges, many of which are not regulated.

Prior to engaging in BTC transactions, a user must first obtain a digital BTC "wallet" (roughly analogous to a BTC account or online banking account) to store BTCs. A wallet is an open-source software program that generates BTC addresses and enables users to engage in the transfer of BTCs with other users. A user may install a BTC software program on a computer or mobile device that will generate a BTC wallet or, alternatively, a user may retain a third party to create a digital wallet to be used for the same purpose. There is no limit on the number of digital wallets a user can have, and each such wallet includes one or more unique addresses and a verification system for each address consisting of a "public key" and a "private key," which are mathematically related. It is paramount for any user to securely backup of the "private key," as this private key is the sole means by which a user can restore a wallet if such user ever loses access.

The process by which BTCs are minted and BTC transactions are verified is called "mining." To begin mining, a user, or "miner," can download and run a mining client (or program), which, like regular BTC network software programs, turns the user's computer into a "node" on the BTC network that validates blocks. Sets of BTC transactions are combined in new blocks that are then added to the BTC blockchain. Miners, through the use of the BTC software program, engage in a set of prescribed complex mathematical calculations in order to add a block to the BTC blockchain and thereby confirm BTC transactions included in that block's data. A miner who is the first to complete the calculations adds a new block to the BTC blockchain and is rewarded with newly issued BTCs.

BTC mining requires miners to expend significant power resources to solve such complex calculations, and the strain mining operations put on the electrical grids may further delay widespread adoption of bitcoin as a means of exchange and increases the risk of adverse regulatory actions.

BTC is an open source project with no official developer or group of developers that controls the BTC network. However, the BTC network's development is overseen by a core group of developers who are able to access and can alter the BTC network source code and, as a result, they are responsible for quasi-official releases of updates and other changes to the BTC network's source code. The release of updates to the BTC network's source code does not guarantee that the update will be automatically adopted. Users and miners must accept any changes made to the BTC source code by downloading the proposed modification of the BTC network's source code. A modification of the BTC network's source code is only effective with respect to the BTC users and miners that download it. If a modification is accepted only by a percentage of users and miners, a division in the BTC network will occur such that one network will run the pre-modification source code and the other network will run the modified source code; such a division is known as a "fork" in the BTC network.

Risks Relating to Digital Assets

Development and Acceptance of BTC and other Digital Assets. The BTC network was first launched in 2009, and BTCs were the first cryptographic digital assets created to gain global adoption and critical mass.

Although the BTC network is the most established digital asset network, other cryptographic and algorithmic protocols governing the issuance of digital assets continue to emerge. Developments on the BTC network, as well as these other new protocols, represent a new and rapidly evolving industry that is subject to a variety of factors that are difficult to evaluate. For example, the realization of one or more of the following risks (all of which are beyond the control of the Manager) could materially adversely affect the value of an investment in the Fund:

- BTCs have only recently become selectively accepted as a means of payment by retail and commercial outlets, and the use of BTCs by consumers to pay such retail and commercial outlets remains limited. Banks and other established financial institutions may refuse to process funds for BTC transactions; process wire transfers to or from digital asset platforms, BTC-related companies or service providers; or maintain accounts for persons or entities transacting in BTC. As a result, the prices of BTCs may be influenced to a significant extent by speculators and miners, thus contributing to price volatility that makes retailers less likely to accept it as a form of payment in the future;

- Banks may not provide banking services, or may cut off banking services, to businesses that provide digital asset-related services or that accept digital assets as payment, which could dampen liquidity in the market and damage the public perception of digital assets. This could decrease the price of digital assets generally or individually. Further, the lack of availability of banking services could prevent the Fund from being able to timely liquidate any BTC holdings and impose material delays on distributions to investors;

- Certain privacy-preserving features have been or are expected to be introduced to digital asset networks, such as the BTC network. Platforms or businesses that facilitate transactions in BTC may be at an increased risk of criminal or civil lawsuits, or of having banking services cut off if there is a concern that these features interfere with the performance of anti-money laundering duties and economic sanctions checks or facilitate illicit financing or crime; and

- Users, developers and miners may otherwise switch to or adopt certain digital assets at the expense of their engagement with other digital asset networks, which may negatively impact those networks, including the BTC network. Any such switch or adoption could have a material adverse effect on any investment in the Fund.

Uncertain Global Market Demand. The growth and use of virtual currencies generally is subject to a high degree of uncertainty. Indeed, the future of the industry likely depends on several factors, including, but not limited to: (a) economic and regulatory conditions relating to both fiat currencies and virtual currencies; (b) government regulation of the use of and access to virtual currencies; (c) government regulation of virtual currency service providers, administrators or exchanges; and (d) the domestic and global market demand for—and availability of—other forms of virtual currency or payment methods. Any slowing or stopping of the development or acceptance of BTC may adversely affect an investment in the Fund.

BTC Price Volatility. A principal risk in trading any digital asset, including BTC, is the rapid fluctuation of their market price. Extreme price volatility continues to hinder BTC's adoption as role as a medium of exchange. These price fluctuations, which may or not mirror general stock market or interest rate trends, will impact the value of Fund assets and may negatively impact investors, even if they elect not to reinvest fund distributions into BTC. Sharp decreases in BTC's value, which the Manager likely will not be able to anticipate, may limit the Fund's ability to borrow money on commercially reasonable terms or inhibit the Manager from devoting substantial attention to other Fund management duties. There is no guarantee that the BTC (which the Manager anticipates will comprise a substantial portion of Fund Assets) will generate any investment return whatsoever, including any return equal or exceeding general money market interest

rates on cash deposits. The Manager has wide discretion in determining when to purchase BTC, and investors have no assurance that the Manager will be able to anticipate the market so as to generate returns for investors. Among the myriad factors (all of which are beyond the Manager's control) which may impact any future value of BTC are: (1) other digital assets supplanting BTC's position as preferred digital asset; (2) rewards and transaction fees for the recording of transactions on the blockchain; (3) availability and access to virtual currency service providers (such as payment processors), exchanges, miners or other digital asset users and market participants; (4) perceived or actual BTC network security vulnerability; (5) inflation levels; (6) fiscal policy; interest rates; and (7) political, natural and economic events. Additionally, any material negative news about other digital assets (e.g., scams or financial irregularities involving meme tokens or initial coin offerings) could have substantial negative price and regulatory implications for BTC and other more established cryptocurrencies.

To the extent the public demand for BTC were to decrease rapidly, including especially at a time when the Fund was in liquidation, the Manager may be unable to sell any BTC comprising Fund Assets requiring the Manager to transfer BTC directly to investors. Therefore, Members may be subject to the risk of price fluctuations of BTC even after dissolution of the Fund.

Loss or Destruction of BTC. Digital assets, including BTC, are intended to be controllable only by the possessor of both the unique public and private keys relating to the local or online digital wallet in which such digital assets are held. To the extent private keys relating to the BTC held by the Fund are lost, destroyed or otherwise compromised, the Manager may be unable to access or liquidate any BTC held by the Fund. Any loss of private keys relating to digital wallets used to store the Fund's BTC would materially adversely affect an investment in the Fund. Further, bitcoins are typically transferred digitally, through electronic media not controlled or regulated by any entity. To the extent the Manager inadvertently and erroneously transfers a digital asset transfers to the wrong destination, the Fund may be unable to recover such BTC, resulting in a material loss to investors.

BTC Transactions Irrevocable. Just as the BTC blockchain (or similar technologies) creates a permanent, public record of BTC transactions, it also creates an irrevocable one. Transactions that have been verified, and thus recorded as a block on the blockchain (or similar technologies), generally cannot be undone. Even if the transaction turns out to have been in error or as a result theft, the transaction is not reversible. Further, at this time, the Manager is not aware of any U.S. or foreign governmental, regulatory, investigative or prosecutorial authority or mechanism through which to bring an action or complaint regarding missing or stolen BTC. Consequently, the Fund may be unable to replace missing BTC or seek reimbursement for any erroneous transfer or theft. Furthermore, to the extent the Fund could avail itself of U.S. or international law enforcement agencies, such organizations may lack the technical skills and subject matter expertise to effectively recover any stolen digital assets. If the Fund is unable to seek redress for such action, error or theft, such loss could adversely affect an investment in the Fund, including materially reducing the value of any future distributions to investors.

Third Party Wallet Providers. The Manager may, in its sole and absolute discretion, use third party wallet providers/custodians to hold any BTC comprising Fund Assets. Any such third party provider may have a high concentration of any digital assets in one location or with one third party wallet provider, which may be prone to losses arising out of hacking, loss of passwords, compromised access credentials, malware, or cyber-attacks. The Manager is not required to maintain a minimum number of wallet providers to hold any BTC comprising Fund Assets. Certain third party wallet providers may not indemnify against any losses. Digital assets held by third parties could be transferred into "cold storage" or "deep storage" (sometimes without the Manager's consent), and the resulting delay in access to the Fund's BTC may inhibit the Manager from taking advantage of favorable market conditions. Investors should note that any expenses incurred by the Fund or the Manager with respect to third party wallet providers/custodians are Fund Expenses and will reduce amounts available to distribution to investors.

Given the type and extent of the security measures necessary to adequately secure BTC and other digital assets, neither the Manager nor the investors will have a complete understanding or be able to effectively evaluate the security measures established by any third party wallet providers/custodians.

Security. There exists the possibility that while acquiring or disposing of BTC, the Manager unknowingly engages in transactions with bad actors who are under the scrutiny of government investigative agencies. As such, the Fund's systems or a portion thereof may be taken off-line pursuant to legal process such as the service of a search and/or seizure warrant. Such action could result in the loss of BTC previously under the Fund's control.

The core developers of the BTC network could propose amendments to the BTC network's protocols and software that, if accepted and authorized, or not accepted, by the wider BTC network community, could adversely affect the supply, security, value, or market share of BTC, and thus an investment in the Fund. Neither the Manager nor the Fund anticipate having any involvement in the BTC network development community.

Hackers. Hackers or malicious actors may launch attacks to steal, compromise or secure BTC and other digital assets, such as by attacking network source code, exchange servers, third-party platforms, cold and hot storage locations or by other means. For example, in February 2014, Mt. Gox, a cryptocurrency exchange, suspended withdrawals because it discovered hackers were able to obtain control over the exchange's BTCs by changing the unique identification number of a BTC transaction before it was confirmed by the BTC network. Further, Flexcoin, a so-called BTC bank, was hacked in March 2014 when attackers exploited a flaw in the code governing transfers between users by flooding the system with requests before the account balances could update—resulting in the theft of 896 BTC. As the Fund's holdings of BTC increase, either the Fund or any third party wallet provider/custodian may become a more appealing target of hackers, malware, cyber-attacks or other security threats. The Fund may be required to undertake material efforts to secure and safeguard BTC from theft, loss, damage, destruction, malware, hackers or cyber-attacks, which may add significant expenses to Fund operations and reduce amounts available for distribution to investors. There can be no assurance that such securities measures will be effective or can be implanted at commercially reasonable costs.

Reliance on Virtual Currency Service Providers. Due to audit and operational needs, there will be individuals who have access to information regarding the Fund's security measures and any BTC comprising Fund Assets. Additionally, the Manager and its current employees have limited investment experience with BTC. Any of those individuals may purposely or inadvertently leak such information. Further, several companies and financial institutions (including banks) may provide support to the Manager or the Fund related to the buying selling, and storage of BTC. To the extent service providers no longer willing or able to provide support for the Fund or the Manager or cannot be replaced, an investment in the Fund may be adversely affected.

Malicious Actor or Botnet. If a malicious actor or botnet (a volunteer or hacked collection of computers controlled by networked software coordinating the actions of the computers) obtains control of more than 50% of the processing power dedicated to mining on the BTC network, it may be able to alter the BTC blockchain. The malicious actor or botnet could then construct fraudulent blocks or preventing certain transactions from completing in a timely manner, or at all. Moreover, the malicious actor or botnet could also control, exclude or modify the ordering of transactions. Although the malicious actor or botnet would not be able to generate new tokens or transactions using such control, it could "double-spend" its own tokens (i.e., spend the same tokens in more than one transaction) and prevent the confirmation of other users' transactions for so long as it maintained control. To the extent that such malicious actor or botnet did not yield its control of the processing power on the BTC network or the BTC community did not reject the fraudulent blocks as malicious, reversing any changes made to the BTC blockchain may not be possible. Further, a malicious actor or botnet could create a flood of transactions in order to slow down the BTC

network. Digital assets, including Ethereum Classic and BTC Cash have been subject to such attacks. While there are no known reports of malicious activity on, or control of, the BTC network, the risk of certain mining pools exceeding 50% of available mining power has been reported. Any actual or rumored control of the BTC network by any malicious actor could have material adverse effects on any investment in the Fund.

Digital Assets are not Subject to FDIC Protections. Unlike many cash deposits maintained by the Fund at banking institutions, the Fund's holdings of BTC will not receive the protections enjoyed by depositors with FDIC member institutions.

Uncertain Regulatory Status of Cryptocurrencies and other Digital Assets. In both the United States and other jurisdictions, there is a lack of consensus regarding the regulation of digital assets, including BTC, and their markets. As a result of the growth in the size of the digital asset market the U.S. Congress and a number of U.S. federal and state agencies (including the Securities and Exchange Commission (the "SEC"), Department of Treasury, the Consumer Financial Protection Bureau, the Department of Justice, the Department of Homeland Security, the Federal Bureau of Investigation, the Internal Revenue Service and a host of state regulators) have been examining the operations of digital asset networks, digital asset users and the digital asset markets. Many of these state and federal agencies have brought enforcement actions or issued consumer advisories regarding the risks posed by digital assets to investors. Ongoing and future regulatory actions with respect to digital assets generally or BTC in particular may alter, perhaps to a materially adverse extent, the nature of an investment in the Fund or its ability to generate any return for investors.

It is not possible to predict whether, or when, any of these developments will lead to Congress granting additional authorities to the SEC or other regulators. Further, it is not clear what the nature of such additional authorities might be, how additional legislation and/or regulatory oversight might impact the ability of digital asset markets to function or how any new regulations or changes to existing regulations might impact the value of digital assets generally and BTC held by the Fund specifically. The consequences of increased federal or state regulation of digital assets and digital asset activities could have a material adverse effect on the Fund or its ability to generate any return for investors.

Depending on its characteristics, a digital asset may be considered a "security" under the federal securities laws. The test for determining whether a particular digital asset is a "security" is complex and difficult to apply, and the outcome is difficult to predict. Public, though non-binding, statements made in the past by senior officials at the SEC and endorsed by its previous chairman in a letter to a member of Congress appeared to indicate that the SEC did not consider BTC to be a security, at least currently, and the staff has provided informal assurances to a handful of promoters that their digital assets are not securities. On the other hand, the SEC has brought enforcement actions against the promoters of several other digital assets on the basis that the digital assets in question are securities, and there is no final statutory determination whether BTC is considered a "security" under U.S. law. Should Congress or the SEC alter this interpretation, the value of BTC (and thus the value of any investment in the Fund) would be adversely affected.

Additionally, various foreign jurisdictions have, and may continue to adopt laws, regulations or directives that affect digital asset networks (including the BTC network), the digital asset markets (including the BTC market), and their users, particularly digital asset platforms and service providers that fall within such jurisdictions' regulatory scope. For example, if China or other foreign jurisdictions were to ban or otherwise restrict manufacturers' ability to produce or sell semiconductors or hard drives in connection with BTC mining, it would have a material adverse effect on digital asset networks (including the BTC network), the digital asset market, and as a result, impact the value of any investment in the Fund.

Federal Income Tax Risks

Generally, the income tax aspects of an investment in the Fund are complicated. Prospective Investors should review the discussion herein under the heading "Certain U.S. Federal Income Tax Considerations" and discuss the applicable tax considerations with their own professional tax advisors familiar with the Investor's particular income tax situation and with the income tax laws and regulations applicable to the Investor and investment partnerships.

The Fund expects to be treated as a partnership for Federal income tax purposes, with the result that the Investors, and not the Fund, will be taxed on their distributive shares of the Fund's items of income and gain. Investors will have this income tax liability even in the absence of cash distributions, and thus may have taxable income and income tax liability arising from their investments in the Fund in years in which they receive no cash distributions from the Fund. If this occurs, the tax on such profits will be an out of pocket cost of the Investors.

In addition to Federal income taxes, each Investor may incur income tax liabilities under the State or local income tax laws of certain jurisdictions in which the Fund will operate and/or own assets, as well as in the jurisdiction of that Investor's residence or domicile. State and local income tax laws vary from one location to another, and Federal, State and local income tax laws are both complex and subject to change. In addition, special income tax considerations may apply to qualified employee benefit plans and other tax-exempt entities, as well as to non-U.S. residents.

No assurance can be given that the Fund's interpretation of the existing Federal income tax laws and Treasury Regulations for any given year will not be challenged by the Internal Revenue Service, resulting in any increase in taxable income or a decrease in allowable deductions.

Changes in the Law- Recent Legislation. In recent years, numerous changes to the Code have been enacted. These changes have affected marginal tax rates, personal exemptions, itemized deductions, depreciation and amortization rates, and other provisions of the Code. There can be no assurance that the present federal income tax treatment of an investment in the Fund will not be adversely affected by future legislative, judicial or administrative action. Any modification or change in the Code or the regulations promulgated thereunder, or any judicial decision, could be applied retroactively to an investment in the Fund. In view of this uncertainty, prospective Investors are urged to consider ongoing developments in this area and consult their advisors concerning the effects of such developments on an investment in the Fund considering their own personal tax situations.

Risk of Audit. Information returns filed by the Fund are subject to audit by the IRS. An audit of the Fund's return may lead to adjustments, in which event the Members may be required to file amended income tax returns. In addition, any such audit may lead to an additional audit of an Investor's income tax return, which may lead to adjustments other than those relating to such Investor's investment in the Fund. The costs of such audit and adjustments would be borne by the affected Members. See the discussion under the heading "Certain U.S. Federal Income Tax Considerations—Audits and Tax Controversies" below.

Other Potential Tax Risks. In evaluating an investment in the Fund, a prospective Investor should also consider, in addition to the above potential tax consequences, the following tax consequences (amongst others): (i) the possibility that there may be a recapture of depreciation so that upon a sale of Interests, or of a Fund real estate investment, a portion of the gain may be taxed as ordinary income tax rates; (ii) the possibility that his or her income tax liability resulting from a sale of a Fund investment (including a sale or disposition resulting from the foreclosure or other enforcement of a security interest) or from a sale or other disposition (e.g., by gift) of his or her Interests may exceed his or her share of the cash proceeds therefrom (whether or not distributed), and to the extent of such excess, the payment of such income taxes will be an out- of-pocket expense; (iii) the possibility that in connection with the reduction or compromise

of a debt obligation of one or more of the Fund's investments, the Investors may be required to recognize debt forgiveness income without a corresponding distribution; (iv) the possibility of tax liability on the Fund's current operating income in excess of amounts that the Manager deems advisable to distribute; (v) the possibility that foreign, State or local income tax treatment may be adverse; (vi) the possibility that there may be adverse changes in the income tax laws and their interpretation; and (vii) the possibility that the interest expense of the Fund might not be allowable as a deduction to some or all of the Investors. Moreover, there is uncertainty concerning certain other of the income tax aspects of an investment in the Fund, and there can be no assurance that some of the deductions claimed or positions taken by the Fund may not be successfully challenged by the IRS.

Other Regulatory and Legal Risks

Federal and State Securities Laws; Absence of Regulation Applicable to the Fund. The Fund has not registered and will not register this Offering under the Securities Act in reliance on the exemption provisions of Section 4(a)(2) of the Securities Act and Regulation D promulgated by the SEC. The Fund also has relied on exemptions from securities registration requirements under applicable State securities laws. Investors in the Fund, therefore, will not receive any of the benefits that registration may be deemed to afford. Given the planned nature of the Fund's investments, or pursuant to certain available exemptions, the Fund should not be required to register as an "investment company" under the Investment Company Act of 1940 and investors in the Fund will not have the protections that may be deemed to be afforded to investors under such Act.

Liquidity of Interests. Investors should be aware of the long-term nature of this investment. There is not now and will not be a public market for the Interests. Because the Interests have not been registered under the Securities Act or under the securities laws of any State or foreign jurisdiction, the Interests are "restricted securities" and cannot be resold in the United States except as permitted under the Securities Act and applicable State securities laws, pursuant to registration thereunder or exemption from such registration. It is not contemplated that registration of the Interests under the Securities Act or other securities laws will ever be affected. The Interests may also not be sold or otherwise transferred without the consent of the Manager and compliance with the Operating Agreement. Accordingly, an Investor may not be able to liquidate his, her or its investment in the Fund in the event of an emergency or for any other reason, and an Investor's Interests due to the illiquid nature of the Interest and the limitation on transfer may not be acceptable as collateral for loans. Limitations on the transfer of the Interests may also adversely affect the price that an Investor might be able to obtain for Interests in a private sale.

ERISA and Pension Plan Investors. Special considerations apply to employee benefit plans subject to ERISA and other retirement plans and arrangements (such as Individual Retirement Accounts) subject to Section 4975 of the Code. Fiduciaries investing the assets of such a plan in the Interests should satisfy themselves that the investment is consistent with their fiduciary duties under ERISA, including the requirement to diversify the plan's assets, to take into account the liquidity needs of the plan and to comply with plan documents. In addition, fiduciaries should confirm that the investment will not constitute a non-exempt prohibited transaction under ERISA or the Code. Fiduciaries who fail to satisfy their fiduciary duties or who cause a plan to participate in a prohibited transaction can be subject to liability for plan losses, in addition to civil and criminal penalties.

The Manager intends to rely on exceptions provided by Department of Labor regulations so that the Fund will not hold the "plan assets" of a plan or arrangement that is subject to ERISA or to Section 4975 of the Code. Despite this intention, there is no assurance that the Fund will be successful in satisfying the requirements for a plan assets exception under such regulations, in which case the Manager would become a fiduciary and the Fund would be subject to significant restrictions which could adversely affect its operations and investments. Also, if the Manager relies on the plan asset exemption for a "real estate operating company", the requirements that must be satisfied in order to maintain such qualification could

affect the Fund's choice of investments which could reduce the potential returns to Investors.

Fiduciaries investing the assets of an employee benefit plan or other arrangement that is subject to ERISA and Section 4975 of the Code are advised to consult with their own counsel regarding these and other ERISA risks. See "Certain Legal Matters-ERISA Considerations."

CERTAIN LEGAL MATTERS

Securities Act of 1933; Other Laws

The Interests have not been and will not be registered under the Securities Act, the securities laws of any State in the United States or the securities laws of any other jurisdiction, and the Fund does not intend to register the Interests under such laws, unless required to do so. The Interests offered hereby are being offered in reliance upon the exemption from registration provided by Section 4(a)(2) of the Securities Act and Regulation D promulgated thereunder and other comparable exemptions under the laws of the states and other jurisdictions where the Offering will be made.

Investment Company Act of 1940

The Fund will not be registered under the Investment Company Act of 1940, in reliance on the fact that the Fund is engaged in the business of owning and operating real estate rather than investing, trading or holding securities, and Members will not be afforded the protections thereunder.

Investment Advisers Act of 1940

The Fund intends to structure its investments to avoid the need for the Manager or its affiliates to register as an investment adviser under the Investment Advisers Act of 1940, as amended. Members will not be afforded the protections thereunder.

Anti-Money Laundering and Similar Regulations

In 2001, Congress enacted the "Uniting and Strengthening America by Providing Appropriate Tools Required to Intercept and Obstruct Terrorism Act of 2001," otherwise known as the USA PATRIOT Act. The USA PATRIOT Act imposes obligations upon "financial institutions" to ensure that its investors are not using their investments in such institutions for money laundering schemes. The Act does not clearly provide whether or not a real estate fund such as the Fund qualifies as a "financial institution"; therefore, while the Manager does not believe that the Fund so qualifies, out of the abundance of caution, it is requiring as a condition to any investment that each Member provide certain written certifications to the Fund that, among other things, it does not support, is not affiliated with, or otherwise transacts business on behalf of any organization that is prohibited under the USA PATRIOT Act.

ERISA Considerations

Fiduciary Investment Considerations under ERISA and the Code. Certain investors in the Fund may be subject to the fiduciary responsibility and prohibited transaction requirements of the Employee Retirement Income Security Act of 1974, as amended ("ERISA"), and/or related provisions of the Code. The following is a summary of some of the material fiduciary investment considerations that may apply to such investors under ERISA and the Code. This summary is based on the fiduciary responsibility provisions and prohibited transaction restrictions of ERISA, relevant regulations and opinions issued by the United States Department of Labor (the "DOL") and court decisions thereunder, and on the pertinent provisions of the Code, relevant regulations, published rulings and procedures of the IRS, and court decisions thereunder.

This summary does not include all the fiduciary investment considerations relevant to Investors subject to ERISA and/or Section 4975 of the Code and should not be construed as legal advice or a legal opinion. Prospective Investors should consult with their own counsel on these matters.

This summary is based on provisions of ERISA and the Code as of the date hereof. This summary does not purport to be complete and is qualified in its entirety by reference to ERISA and the Code. No assurance can be given that future legislation, administrative regulations or rulings in court decisions will not significantly modify the requirements summarized herein. Any such changes may be retroactive and thereby apply to transactions entered into prior to the date of their enactment or release and neither the Manager nor the Fund assume any responsibility to notify Members of any such actual or potential changes.

Fiduciary Considerations. Before authorizing an investment in the Fund, fiduciaries of pension, profit-sharing or other employee benefit plans subject to ERISA (the "Benefit Plans") should consider, among other matters: (a) the fiduciary standards imposed by ERISA, or applicable state law; (b) whether an investment in the Fund by the Benefit Plan satisfies the prudence and diversification requirements of ERISA or applicable state law, taking into account the overall investment policy of the plan, the composition of the plan's portfolio, and the limitations on the marketability of interests in the Fund; (c) whether such fiduciaries have authority to make the investment under the appropriate plan investment policies and governing instruments; and (d) prohibitions under ERISA, the Code and/or state law applicable to the Benefit Plans' engaging in certain transactions involving "plan assets" with persons who are "disqualified persons" under the Code or "parties in interest" under ERISA or applicable state law.

Accordingly, when considering an investment of Benefit Plan's assets in the Fund, each fiduciary of a Benefit Plan should consider the effect of the investment on any applicable fiduciary standards of conduct, prohibited transaction rules, valuation requirements, reporting and disclosure requirements and other related requirements. The sale of Membership Interests to a Benefit Plan is in no respect a representation by the Manager or the Fund that this investment meets all relevant requirements with respect to investments by Benefit Plans generally or any particular Benefit Plan or that this investment is appropriate for a Benefit Plan generally or any particular Benefit Plan.

Definition of Plan Assets. ERISA and the Code impose various duties and restrictions with respect to the investment, management and disposition of plan assets. In the context of pooled investment funds and other vehicles in which a plan may invest, the applicability of ERISA and Section 4975 of the Code are subject to regulations published by the DOL relating to the definition of "plan assets," pursuant to which the assets of an entity in which a plan or plans acquire an equity interest will or will not be deemed "plan assets" (the "Regulation"), as applied in the context of Section 3(42) of ERISA. Under the Regulation, when a Benefit Plan or individual retirement account that is subject to ERISA or Section 4975 of the Code (a "Plan") makes an equity investment in an entity such as the Fund, the plan's assets generally include both the Interests and an undivided interest in each of the underlying assets of the Fund, unless: (i) the ownership in each class of equity interests in the Fund on any date after the most recent acquisition of any equity interest in the Fund by "benefit plan investors" (as defined in Section 3(42) of ERISA) has a value in the aggregate of less than 25% of the total value of such class of equity interests that are outstanding (exclusive of Interests held by the Manager and its affiliates); (ii) it is established that the Fund is a "real estate operating company" as defined in the Regulation ("REOC"); or (iii) the Fund qualifies for another exception under the DOL "plan asset" regulations.

If the assets of the Fund are deemed to be "plan assets" of a Plan that is a Member, Subtitle A and Parts 1 and 4 of Subtitle B of Title I of ERISA and Section 4975 of the Code will extend to investments made by the Fund. This would result, among other things, in: (i) the application of the prudence and other fiduciary standards of ERISA (which impose liability on fiduciaries) to investments made by the Fund, which could materially affect the operations of the Fund; (ii) potential liability for persons having investment discretion over the assets of an ERISA-Covered Plan investing in the Fund should investments made by the Fund not

conform to ERISA's prudence and fiduciary standards under Part 4 of Subtitle B of Title I of ERISA, unless certain conditions are satisfied; and (iii) the possibility that certain transactions that the Fund might enter into in the ordinary course of its business might constitute "prohibited transactions" under ERISA and the Code. A prohibited transaction, in addition to imposing potential personal liability upon fiduciaries of employee benefit plans, may also result in the imposition of an excise tax under the Code upon disqualified persons with respect to the Benefit Plans.

The Fund intends to limit investment in the Fund by "benefit plan investors" to less than 25% (excluding the Interests held by the Manager and its affiliates) in order to prevent the Fund from being deemed to hold "plan assets" of any Plan. However, if investment by "benefit plan investors" exceeds this threshold, the Manager may cause the Fund to qualify as a REOC and structure the Fund's investments in compliance with the requirements for such exemption as set forth in the Regulation.

While the Manager intends to limit participation and/or seek to qualify as a REOC, there is no assurance that the Fund will be able to continue to prevent the Fund from being deemed to hold "plan assets" of any Plan.

Governmental plans and certain church plans (as defined in ERISA) are not subject to ERISA or the prohibited transaction provisions under Section 4975 of the Code. However, state laws or regulations governing the investment and management of the assets of such plans may contain fiduciary and prohibited transaction requirements similar to those under ERISA and the Code discussed above.

The application of ERISA, the Code and other relevant laws may be complex and dependent upon the particular facts and circumstances of the fund and of each plan, and it is the responsibility of the appropriate fiduciary of the plan to ensure that any investment in the Interests by such plan is consistent with all applicable requirements. Fiduciaries of benefit plans should consult their legal and other advisors concerning these considerations, and (particularly in the case of non-ERISA plans) concerning any additional Code and State law considerations, before making an investment in the Interests.

Dispute Resolution

Exclusive Remedy – Binding Arbitration. **THE SOLE AND EXCLUSIVE REMEDY FOR ANY DISPUTE SHALL BE BINDING ARBITRATION**. To the greatest extent permitted by law, no party to this Agreement or any of their affiliates shall have the right to pursue, in court or through any other judicial or administrative proceeding, any dispute, claim, controversy, or cause of action arising out of or relating to the Investor's investment, this Agreement, any subscription agreement, any offering documents, any investment in real property or other assets sponsored by (a) Cardone Capital, LLC, its affiliates, subsidiaries, managers, officers, directors, employees, agents, and representatives, (b) Grant Cardone, or (c) any other investor in any investment sponsored, managed, or affiliated with Cardone Capital or Grant Cardone (collectively, the "Cardone Party"), or any relationship between the Investor and any Cardone Party (each, a "Dispute"). Instead, any and all Disputes shall be resolved through binding arbitration. The arbitration will be administered by Judicial Arbitration & Mediation Services, Inc. (JAMS) under its Streamlined Arbitration Rules & Procedures effective June 1, 2021 (the "JAMS Rules"). The arbitration shall be conducted as follows:

The arbitration shall be conducted before a single arbitrator to be selected by the parties to the arbitration (the "Dispute Parties") within fourteen (14) days of service of the demand for arbitration or, absent agreement by the Dispute Parties, to be selected by JAMS's process in place at the time of the demand for

arbitration. Unless otherwise agreed to in writing by the parties, the arbitrator shall reside in the Miami, Florida metropolitan area.

THE PARTIES AGREE TO ARBITRATE SOLELY ON AN INDIVIDUAL BASIS, AND AGREE THAT THIS AGREEMENT DOES NOT PERMIT CLASS ARBITRATION OR ANY CLAIMS BROUGHT AS A PLAINTIFF OR CLASS MEMBER IN ANY CLASS OR REPRESENTATIVE ARBITRATION PROCEEDING. ABSENT THE WRITTEN CONSENT OF ALL DISPUTE PARTIES, THE ARBITRATOR MAY NOT CONSOLIDATE MORE THAN ONE PARTY'S CLAIMS AND MAY NOT PRESIDE OVER ANY FORM OF A REPRESENTATIVE OR CLASS PROCEEDING AND JAMS MAY NOT ORDER A CLASS ARBITRATION. IN THE EVENT THE FOREGOING PROHIBITION ON CLASS ARBITRATION IS DEEMED INVALID OR UNENFORCEABLE, THEN THE REMAINING PORTIONS OF THE ARBITRATION AGREEMENT WILL REMAIN IN FORCE.

The parties agree to evenly split the fees and costs of the arbitration as invoiced by JAMS, but otherwise each party shall bear their own fees and costs associated with the arbitration.

The arbitration shall be final and binding on the parties, shall be non-appealable and judgment upon any award rendered by the arbitrator may be entered in any court having jurisdiction thereof.

The arbitrator shall have the power to rule on any challenge to its own jurisdiction or the validity or enforceability of any portion of the dispute resolution provisions in Section 16.15 of the Limited Liability Company Operating Agreement of Cardone Equity Fund 31.

The arbitrator shall have no authority to award punitive, exemplary, incidental, indirect, special, or consequential damages, or any damages other than actual compensatory damages. To prevent irreparable harm, the arbitrator may grant temporary or permanent injunctive or other equitable relief.

The arbitration shall be confidential, and no party shall disclose the existence, content, or results thereof without the prior written consent of all parties, except as required by law.

This arbitration agreement shall be governed by the Federal Arbitration Act (9 U.S.C. § 1 et seq.) and, to the extent not inconsistent therewith, the laws of the State of Delaware without regard to conflict of laws principles.

The arbitration hearing shall be held in Miami, Florida, and the parties waive any objections that they may have based on improper venue or *forum non conveniens*.

The arbitrator shall issue an award in writing within fourteen (14) days from the close of the hearing. In the event the Claimant unsuccessfully challenges the enforceability of this Section 16.15, and the Respondent is forced to compel arbitration in court, the arbitrator shall award the fees and costs arising from compelling arbitration to the Respondent, either as an addition to the Respondent or as a set-off against any award to the Claimant.

Limitations on Actions. No party may bring a claim or action, regardless of form, arising out of or related to this Agreement, including any claim of fraud, misrepresentation, or fraudulent inducement, more than one year after the cause of action accrues.

Survival and Severability. This Section shall survive the termination or expiration of the Operating Agreement. If any provision of Section 16.15 of the Operating Agreement is held to be unenforceable, the remainder of Section 16.15 of the Operating Agreement shall remain in full force and effect, and the unenforceable provision shall be reformed to the minimum extent necessary to make it enforceable. If for any reason, despite the terms hereof, any Dispute must be resolved in court, each Member irrevocably

consents and agrees that any legal action or proceeding with respect to the Operating Agreement and any action for enforcement of any judgment in respect thereof shall be brought in the courts of the State of Florida for Miami-Dade County or the United States federal courts for the Southern District of Florida, and, by execution and delivery of the Operating Agreement, each Member hereby submits to and accepts for itself and in respect of its property, generally and unconditionally, the non-exclusive jurisdiction of the aforesaid courts and appellate courts from any appeal thereof. and irrevocably waives all right of trial by jury.

Acknowledgment. By executing the Operating Agreement or subscribing for an interest in the investment, the Investor expressly acknowledges that it has read and understood this arbitration and litigation waiver provision, that it has had the opportunity to consult with independent legal counsel, and that it voluntarily and knowingly agrees to be bound by its terms. The Investor further acknowledges that this provision is a material inducement for the Cardone Party to accept the Investor's subscription.

CERTAIN U.S. FEDERAL INCOME TAX CONSIDERATIONS

Set forth below is a discussion, in summary form, of certain material U.S. federal income tax considerations related to an investment in the Fund with respect to U.S. Investors. This summary is for general information only and may not apply to all categories of investors. This summary does not constitute tax advice nor does it attempt to present all aspects of the U.S. federal income tax laws or any state, local or foreign laws that may affect an investment in the Fund. In particular, banks, thrifts, insurance companies, partnerships or other pass-through entities, dealers in securities or currencies, investors that do not hold an interest in the Fund as a capital asset, foreign investors, financial institutions, insurance companies, tax-exempt entities and other investors of special status must consult with their own professional tax advisors as to the tax considerations of an investment in the Fund. The actual tax consequences of the purchase, ownership and disposition of interests in the Fund may vary depending on an investor's particular circumstances. No ruling has been or will be requested from the Internal Revenue Service (the "IRS") and no assurance can be given that the IRS or the courts will agree with the tax consequences described in this summary.

Furthermore, the U.S. federal income taxation of Members in the Fund is extremely complex and may involve, among other things, significant issues as to the timing, character, and allocation of gains and losses, various limitations on the deductibility of losses, and relationships between a Member's investment in the Fund and the Member's other investments and activities. Accordingly, this discussion is not a substitute for careful tax planning, particularly since certain of the federal income tax consequences of an investment in the Fund will vary depending upon the Investor's own circumstances. This discussion is based upon the Code, administrative rulings, judicial decisions and Treasury regulations as in effect on the date hereof, all of which are subject to change (possibly with retroactive effect).

As used in this summary, the term "U.S. Investor" means a beneficial owner of an Interest who is, for U.S. federal income tax purposes:

- a citizen or individual resident of the U.S.;
- a corporation, or other entity treated as an association taxable as a corporation, that is organized in or under the laws of the U.S., any state thereof or the District of Columbia;
- an estate whose income is subject to U.S. federal income tax regardless of its source; or
- a trust if (i) a court within the U.S. is able to exercise primary supervision over the trust's administration, and (ii) one or more "United States persons," within the meaning of section 7701(a)(30) of the Code, has the authority to control all substantial decisions of the trust. Notwithstanding the preceding sentence, certain electing trusts in existence on August 20, 1996 that were treated as United States persons prior to this date may also be considered U.S. investors.

If a partnership, including any entity or arrangement treated as a partnership for U.S. federal income tax purposes (collectively, referred to in this summary as a "partnership"), holds an Interest, then the federal income tax treatment of a partner in that partnership generally will depend on the status of the partner and the partnership's activities. Partners and partnerships should consult their own tax advisors with regard to the federal income tax treatment of an investment in the Interest.

As used in this summary, the term "Non-U.S. Investor" means a beneficial owner of an interest who is neither a U.S. Investor nor a partnership. Potential Non-U.S. Investors should review the discussion under the heading "***Tax Considerations for Non-U.S. Investors***" below.

Taxation of the Fund

Generally. The Fund is a Delaware limited liability company. It is intended that the Fund will be classified as a partnership for Federal income tax purposes, and not as an "association" taxable as a corporation. In addition, it is intended that the Fund will not be treated as a "publicly traded partnership" for Federal income tax purposes.

In general, as a partnership for income tax purposes, the Fund will not itself be a taxable entity for Federal income tax purposes. Rather, the Fund's items of income, gain, loss, deduction and credit (if any) (collectively, "Tax Items"), and the character of such items (e.g., as ordinary income, as short-term or long-term capital gain, or as investment interest deductions), will generally flow through to the Investors as though the Investors realized such items directly. Each Investor will report its distributive share of the items on such Investor's Federal and applicable State and local income tax returns for the taxable year that includes the end of the Fund's taxable year, regardless of whether the Investor has received any cash distributions from the Fund.

The Fund will report based on a calendar year, unless required to adopt a different fiscal year for Federal income tax purposes or otherwise changed by the Manager. The Fund will annually file U.S. Return of Partnership Income on IRS Form 1065, reporting its operations for each taxable year to the IRS. The Fund will provide Members with the information on Schedule K-1 to Form 1065 necessary to enable them to include in their tax returns the tax information arising from their investment in the Fund. The Operating Agreement requires that the Members shall not treat any Fund item inconsistently on such Member's federal, state, foreign or other income tax return with the treatment of the item on the Fund's tax return.

Effect of Potential Reclassification of the Fund. A domestic limited liability company will be classified as a partnership for U.S. federal income tax purposes if it has two or more members, unless an election is made to treat the entity as an association taxable as a corporation for income tax purposes. The Manager does not intend to elect to classify the Fund as an association taxable as a corporation.

Certain organizations otherwise classified as partnerships may nonetheless be treated as associations taxable as corporations for federal income tax purposes if they are considered "publicly traded partnerships" under the Code (even if interests in these entities are not publicly traded) unless an exception applies. The Operating Agreement allows the Manager to require a written opinion of counsel that a proposed transfer of an Interest would not cause the Fund to become a "publicly traded partnership" for Federal income tax purposes. Proposed Investors should note that their ability to sell their Interests may therefore be limited.

If the Fund were to be classified as an association taxable as a corporation for federal income tax purposes, then the Fund's Tax Items would not be passed through to Investors and the Fund would be subject to an entity-level corporate tax. In addition, all or a portion of distributions made to Investors could be taxable as dividends.

The remainder of this discussion is based on the assumption that the Fund will be classified as a partnership for U.S. federal income tax purposes.

Taxation of the U.S. Investors

Generally. As discussed above, the Fund generally will not be subject to U.S. Federal income tax. Instead, the Fund's items of income, gain, loss, deduction and credit (i.e., Tax Items), and the character of such items (e.g., as ordinary income, short-term or long-term capital gain, or investment interest deductions), will generally flow through to the Investors as though the Investors realized such items directly.

Investors will be taxed on their respective distributive shares of the Fund's items of income and gain, regardless of whether they receive distributions from the Fund. There can be no assurance that the Fund will make cash distributions in an amount necessary for Investors to pay tax liabilities resulting from holding Interests. Moreover, the Fund is not required to make "tax distributions" in order to cover a Member's Fund-related tax liability. Thus, it is possible that an Investor could incur income tax liability with respect to its share of the income of the Fund without receiving a cash distribution from the Fund to pay such liability.

A Member's tax liability with respect to the Fund for any year may exceed the amount of cash distributed to such Member for that year for several reasons. If the tax liability exceeds the amount of cash distributed, then a Member will be required to make an out-of-pocket expenditure to cover its tax liability. The income from any investments will be derived directly by the Fund from its ownership percentage in the Fund Assets and allocable to the Members in accordance with the Operating Agreement.

Allocation of Tax Items. The taxable income and tax losses of the Fund will be allocated among the Members in accordance with the Operating Agreement in a manner that reflects the entitlement of the Members to cash distributions under the Operating Agreement. Under Section 704(b) of the Code, a partnership's allocations of Tax Items generally will be respected for Federal income tax purposes if they have "substantial economic effect" or they are in accordance with the "partners' interests in the partnership." If the Fund's allocations do not so comply, then the IRS may reallocate these items in accordance with "the partners' interests in the partnership." The Manager expects that the Fund's allocations will be respected as complying with the requirements of Section 704(b) of the Code. However, there can be no absolute assurance in this regard. If the IRS were to not respect the Fund's allocation of Tax Items, then any reallocation of Tax Items may have adverse tax consequences to a Member.

Tax Basis. As a general matter, the initial tax basis in a Member's Interest will equal the amount paid for the Interest (i.e., the Member's initial capital contribution), increased by the Member's allocable share of the Fund's liabilities. A Member's tax basis will be increased by any additional capital contributions made by the Member and by the Member's allocated share of the Fund's income and gain. A Member's tax basis will be reduced (but not below zero) by the Member's share of the Fund's losses and deductions and by the amount of distributions from the Fund. For this purpose, an increase in a Member's allocable share of the Fund's liabilities will be treated as a capital contribution by the Member. Decreases in a Member's allocable share of the Fund's liabilities will be treated as a cash distribution to the Member (and will be taxable as such, as described below).

Distributions. A non-liquidating cash distribution from the Fund (including deemed cash distributions resulting from a decrease in a Member's allocable share of the Fund's liabilities) generally will not be taxable to a Member except to the extent cash distributed to the Member exceeds the tax basis in the Member's Interest. Cash distributions in an amount exceeding the Member's tax basis generally will be taxable as capital gain (which may be short-term or long-term depending on the timing of the Member's capital contributions to the Fund). However, such gain, however, may be taxable as ordinary income to the extent that the distribution represents a disproportionate change in the Member's share of "unrealized receivables" and "inventory" held by the Fund.

Sale and other Taxable Dispositions of Interests by U.S. Investors

Generally. Interests are not transferable without the consent of the Manager and the satisfaction of requirements specified in the Operating Agreement. In the event a Member does sell or dispose of its Interest, gain or loss will generally be recognized in an amount equal to the difference between:

- the sum of money and the fair market value of any property received in exchange for the interest plus the Member's share of Fund liabilities as of such time; and

- the Member's adjusted tax basis in the Interest (which will be increased or decreased to take into account the selling Member's share of undistributed Fund income (or loss) for the portion of the Fund's taxable year ending on the date of disposition).

In general, gain or loss from the disposition of Interests will be treated as capital gain or loss. However, under Section 751 of the Code, any amount received that is attributable to the selling Member's share of the Fund's "unrealized receivables" (which is defined to include depreciation recapture property to the extent of the recapture thereon) and "inventory items" is treated as an amount received for a non-capital asset and may result in ordinary income. Special rules will apply to the disposition of an Interest by a non-U.S. Member. See the discussion under the heading "Tax Considerations for Non-U.S. Investors" below.

No Code Section 754 Election to Step Up the Basis of Assets when Members Sell Their Membership Interests in the Fund. When a Member sells or disposes of an Interest in the Fund, the transferee may have an adjusted basis in the transferred interests equal to the transferee's cost. Such a sale or disposition does not automatically adjust the tax basis of the Fund's property to reflect the transferee's adjusted basis in his, her or its Interest. In addition, the Manager does not intend that the Fund will make an election under Section 754 of the Code to adjust the tax basis of Fund property in the event of such a sale or disposition. Accordingly, investors may be at a disadvantage in selling their Interests since, in the absence of an election under Code Section 754, transferees ordinarily would obtain no current tax benefit for the excess, if any, of the cost of a transferred Interest over the transferee's share of the Fund's adjusted basis in its assets.

Limitation on Deductibility of Losses and Expenses

In General. Subject to certain conditions and limitations, some of which will be discussed below, Members will be entitled to deduct their respective allocable share of Fund losses to the extent of the tax basis in the Member's Interest as of the end of the Fund's taxable year in which the losses are recognized. Any loss that cannot be deducted under this basis limitation rule generally may be carried forward and deducted by the Member in any future taxable year to the extent of the tax basis in the Member's Interest as of the end of such future taxable year. In addition, various rules may apply to restrict a Member's ability to deduct such Member's share of Fund loss and expenses (including interest), including but not limited to the following:

Limitations on Deducting Investment Interest. Interest, if any, paid or accrued on indebtedness incurred or continued to purchase or carry property held for investment constitutes "investment interest." Investment interest is deductible by non-corporate taxpayers only to the extent it does not exceed "net investment income" as defined in the Code. Generally, "net investment income" is the excess of (1) the sum of (i) gross income from interest, rents and royalties, and (ii) net capital gains from the disposition of investment property over (2) the expenses directly connected with the production of such investment income, but only to the extent that the taxpayer elects to tax such net capital gains at ordinary rates (instead of at capital gains rates). Interest expense incurred by an Investor to acquire or carry the Investor's Interest generally will constitute investment interest. Any investment interest disallowed as a deduction in a taxable year solely by reason of the above limitation is generally treated as investment interest paid or accrued in a succeeding taxable year.

Limitation on Deducting Business Interest. The Code limits the deductibility of interest on debt allocable to a trade or business ("business interest") for certain highly-leveraged taxpayers. Very generally, the deduction for business interest is limited to the sum of the taxpayer's business interest income and 30% of "adjusted gross income" as defined for this purpose in the Code. Business interest does not include investment interest (described in the prior paragraph). Any disallowed business interest may be carried forward to future taxable years. Businesses with average annual gross receipts of $25 million or less are exempt from this limitation.

Passive Activity Losses - Limitations. Losses from business activities in which a taxpayer other than a widely-held corporation does not "materially participate" ("passive activities") are generally only deductible to the extent of income from other passive activities. Subject to certain exceptions, income and losses derived by an investor from a liabilities liability company are generally treated as being from a passive activity. However, "portfolio income" (such as dividends, interest and gain from the sale of property held for investment) is not treated as income from a passive activity, and thus may not be offset by losses from passive activities. Any losses that cannot be deducted under the passive activity loss rules may be carried forward and deducted in future taxable years to the extent permitted under such rules.

At-Risk Limitation. Losses of non-corporate and certain corporate investors may also be subject to the "at-risk" limitations under the Code. Under these rules, the amount of any losses from an activity for a taxable year that may be deducted cannot exceed the aggregate amount with respect to which the taxpayer is considered to be "at risk" for such activity as of the close of the taxable year. A taxpayer is generally "at risk" for an activity only (i) to the extent the taxpayer contributes money to the activity or (ii) for the taxpayer's share of amounts borrowed with respect to the activity for which the investor is personally liable. In the case of a partnership, a partner's amount "at risk" may include the partner's share of certain "qualified non-recourse financing." Investors should expect that they should not be treated as "at risk" with respect to their Interests except to the extent of their actual cash investment in the Fund.

Excess Business Losses. For taxable years beginning after December 31, 2017, and before January 1, 2026, non-corporate Investors may not deduct certain "excess business losses." An "excess business loss" is the excess (if any) of a taxpayer's aggregate deductions for the taxable year that are attributable to the trades or businesses of such taxpayer over the aggregate gross income or gain of such taxpayer for the taxable year that is attributable to such trades or businesses, plus $250,000 (or $500,000 for taxpayers filing a joint return). Any losses disallowed under this limitation may be used in the following taxable year if certain conditions are satisfied. Investors to whom this excess business loss limitation applies will take their allocable share of the Fund's Tax Items into account in determining this limitation. This excess business loss limitation will be applied to a non-corporate Investor after the passive loss limitations (discussed above) and may the investor's ability to utilize any losses the Fund generates that are allocable to the Investor and not otherwise limited by the other loss limitations described in this summary.

Limitations on Miscellaneous Itemized Deductions. For taxable years beginning before January 1, 2026, the Code generally disallows taxpayers who are individuals from deducting items characterized as "miscellaneous itemized deductions." "Miscellaneous itemized deductions" include expenses related to production or collection of investment income that are otherwise deductible under Code Section 212. It is possible that an investor's pro-rata share of some of the expenses directly incurred by the Fund may constitute "miscellaneous itemized deductions" and, as such, the Investor's allocable share of such expenses may not be deductible. With respect to taxable years beginning after December 31, 2025, under current law, taxpayers who are individuals will be able to deduct "miscellaneous itemized deductions," but only to the extent that such deductions exceed 2% of the taxpayer's adjusted gross income.

Company Organization Fees, Start-up Expenditures and Syndication Expense. The Fund will pay certain expenses relating to its organization and start-up. Generally, neither the Fund nor the Members may deduct organizational or syndication expenses. Except for a limited amount of expenses (up to $5,000) which may be deducted currently, any expenses paid by the Fund that constitute organizational and start-up must be capitalized but may be amortized upon proper election of the Fund over a period of not less than 180 months. Syndication expenses must be capitalized and cannot be amortized or otherwise deducted.

It is not possible to predict the extent to which any of the foregoing provisions of the Code will be applicable, since that will depend upon the exact nature of the Fund's future operations and the particular tax positions of the Members. However, the effect of such provisions could be to cause such Members to realize phantom income from the Fund (income without corresponding cash distributions).

Tax on Net Investment Income

The Code imposes a 3.8% on the "net investment income" of U.S. individual taxpayers and most trusts and estates with income over a threshold amount. For individuals, the threshold amount is $250,000 for taxpayers making a joint return or surviving spouse, $125,000 for married taxpayers filing separate returns, and $200,000 in all other cases. This tax is in addition to the income taxes paid on the net investment income. A portion of the Fund's income may be derived from net investment income and, as such, may be subject to the tax on net investment income. In addition, subject to certain exceptions, income and losses derived by an investor from a limited liability company are generally treated as income and losses from a passive activity, thereby being subject to the tax on net investment income. The tax on net investment income does not apply to the income of Non-U.S. Investors.

Taxation of Tax-Exempt Investors

In General. Tax-exempt organizations generally are not subject to Federal income tax except on their "unrelated business taxable income" as defined in the Code ("UBTI") at the regular corporate Federal income tax rate. Furthermore, If charitable remainder trusts or charitable remainder annuity unitrusts have UBTI, they must pay an excise tax equal to one hundred percent (100%) of their distributive share of UBTI.

Acquisition Indebtedness. Additionally, for certain tax-exempt Investors, UBTI includes "unrelated debt-financed income" ("UDFI"). A tax-exempt Investor may realize UDFI if the Fund finances its operations through borrowings. In addition, if a tax-exempt Investor borrows an amount to acquire an Interest or to make capital contributions, then some or all of its distributive share of Fund income could be UDFI and thus taxable to such Investor.

Private Foundations. In some instances, an investment in the Fund by a private foundation could be subject to an excise tax to the extent that such investment constitutes an "excess business holding" within the meaning of the Code. Private foundations should consult their own tax advisors regarding an investment in the Fund, including the potential applicability of the excess business holding provisions.

The Fund's investments and operations may generate UBTI for tax-exempt Members. The Fund is not required to structure its acquisitions, investments or operations to avoid UBTI. Prospective tax-exempt Investors are urged to consult with their own tax advisors concerning the suitability of this investment, taking into account the likelihood that that the investment may generate UBTI and/or UDFI.

Tax Considerations for Non-U.S. Investors

The following section provides a limited discussion of some of the special tax considerations applicable to potential Non-U.S. Investors. Potential Non-U.S. Investors are urged to consult with their tax counsel concerning the Federal, state and local, as well as foreign, tax treatment of such investment.

Effectively Connected Income ("ECI"). In general, the U.S. tax treatment of a Non-U.S. Member will vary depending upon whether the Fund is deemed to be "engaged in a trade of business in the United States" within the meaning of the Code ("engaged in a U.S. business"), which is determined annually based on the applicable facts and circumstances relating to the Fund's operations and activities. The Manager believes that the Fund may be engaged in a U.S. trade or business. If the Fund is so engaged, income from such trade or business activities ("ECI") will be taxable to a Non-U.S. Member on a net basis at regular U.S. Federal income tax rates, if the Member invests in the Fund directly or through a tax-transparent entity, even if the Member has no other contacts with the United States. Non-U.S. Investors may be required to file appropriate federal (and possibly state and local) tax returns. Withholding tax may be claimed as a credit against a Non-U.S. Investor's U.S. federal income tax liability.

In addition, Non-U.S. Members that are corporations may be subject to an additional U.S. "branch-profits tax" and/or "branch-level interest tax" imposed at a 30% gross rate with respect to an investment in the Fund, which may be subject to a reduced rate or exemption pursuant to an applicable income tax treaty. Non-U.S. Investors who wish to claim the benefit of an applicable income tax treaty may be required to satisfy certain certification requirements.

Withholding Taxes. The Internal Revenue Code requires the Fund to report and pay a withholding tax under Code § 1446 on all ECI properly allocable to the foreign Members, computed at the highest rate of tax applicable to the applicable foreign Member. The partnership must pay the Code § 1446 withholding tax regardless of the number of foreign Members' ultimate U.S. tax liability and regardless of whether the partnership makes any distributions during its tax year. Any amount withheld and paid over by the Fund under Code § 1446 will be credited against the respective foreign Member's actual U.S. tax liability. Generally, a foreign Member will be entitled to a refund from the IRS to the extent an amount is withheld that exceeds the amount of U.S. tax owed by such foreign Member. In addition, the Fund may be required to withhold and pay over any withholding taxes imposed on the Fund or with respect to any Member's Interest in the Fund under Code § 1446(f) upon the disposition of an Interest by a foreign Member.

Other U.S. Source Income. If the Fund generates certain categories of U.S. source income that does not constitute ECI, then Non-U.S. Investors will be generally subject to a withholding tax at a gross 30% rate on their allocable share of such income. This withholding tax may be subject to a reduced rate or exemption under an applicable income tax treaty or, in the case of certain U.S. source interest income, the "portfolio interest" exception; provided that a specified certification is provided as to the Non-U.S. Investor's eligibility for such reduced rate or exemption.

Investment Through an Intermediate Entity. Prospective Non-U.S. Investors should considering acquiring an Interest through an intermediate corporate entity (sometimes referred to as a "blocker"), and are so advised consult their own tax advisors.

Prospective Non-U.S. Investors are urged to consult their own tax advisors regarding all U.S. federal, state, and local and non-U.S. tax considerations relating to an investment in the Fund.

Investor Tax Filings and Record Retention

The U.S. Treasury Department has adopted regulations designed to assist the IRS in identifying abusive tax shelter transactions. In general, the regulations require Members in specified transactions (including certain partners in partnerships that engage in such transactions) to satisfy certain special tax filing and record retention requirements. The tax law imposes significant monetary penalties for failure to comply with these tax filing and record retention rules.

The regulations are broad and additional transactions not now within the scope of these rules may be added in the future. Although not contemplated now based on the current scope of the rules, it is conceivable that the Fund may enter into transactions that may subject the Fund and certain Members to the special tax filing and record retention rules. Additionally, a Member's recognition of a loss on its disposition of its Interest could in certain circumstances subject such Member to these rules.

Audits and Tax Controversies

If the IRS audits tax returns of the Fund, the Manager would control the conduct of such tax audit in its capacity as "partnership representative" of the Fund. The tax treatment of items of Fund income, loss, deductions, and credits will be determined at the partnership level in a unified partnership proceeding at which the partnership representative of the Fund will have sole authority to act on behalf of the Fund with respect to such audit.

The "partnership representative" will have considerable authority to make decisions affecting the tax treatment and procedural rights of all Members with respect to items of Fund income, gain or loss. For example, the partnership representative will have the right to extend the statute of limitations with respect to the assessment of additional tax liability against a Member to the extent such assessment relates to an item of Fund income, gain or loss. Under the Operating Agreement, Members must comply with the partnership representative's directions with respect to any matter relating to an audit or other tax controversy, including potentially filing amended returns and paying any underpayment of Fund tax liability. If the IRS were to successfully assert that any adjustment should be made to the tax returns of the Fund for any taxable year, those persons who were Members of the Fund either during the year to which the adjustment relates or the year in which the audit is concluded may be required to amend their own tax returns for such year to reflect their share of such adjustment and pay any resulting tax related thereto. These obligations will remain with the Members with respect to all taxable years that they are a Member of the Fund, even after they are no longer a Member of the Fund.

State, Local and Foreign Tax Considerations

The foregoing discussion does not address the state, local and foreign tax considerations of an investment in the Fund. Prospective investors are urged to consult their own tax advisors regarding those matters and all other tax aspects of an investment in the Fund. It should be noted that the Members may be subject to state, local or foreign income, franchise or withholding taxes in those jurisdictions where the Fund is regarded as doing business. It also should be noted that it is possible that the Fund itself may be subject to state, local or foreign tax in certain jurisdictions, and/or responsible for collections and paying withholding taxes on amounts of income allocated to any foreign Investor.

Virtual Currency

The IRS issued Notice 2014-21, which concludes that virtual currency, including Bitcoin, is rerated as property for U.S. federal Tax purposes (rather than foreign currency). Notice 2014-21 further concludes that general tax principles that apply to property transactions apply to transactions using virtual currency.

Foreign Account Tax Compliance Act ("FATCA")

The Foreign Account Tax Compliance Act ("FATCA") contained in Sections 1471 through 1474 of the Code, the Treasury Regulations thereunder and IRS administrative practice impose a U.S. withholding tax at a thirty percent (30%) rate on specified "withholding payments" with respect to Interests held by or through "foreign financial institutions" as defined in FATCA ("FFIs"), unless such FFI (a) enters into, and complies with, an agreement with the IRS to report, on an annual basis, information with respect to interests in, and accounts maintained by, the institution that are owned by certain U.S. persons or by certain non-U.S. entities that are wholly or partially owned by U.S. persons and to withhold on certain payments, or (b) if required under an intergovernmental agreement between the United States and an applicable foreign country, reports such information to its local tax authority, which will exchange such information with the U.S. authorities. An intergovernmental agreement between the United States and an applicable foreign country may modify these requirements.

In addition, FATCA imposes withholding at a rate of 30% on specified "withholdable payments" with respect to Interests held by a "non-financial foreign entity" that does not qualify under certain exemptions, unless such non-financial foreign entity" either (a) certifies that such entity does not have any "substantial United States owners" or (b) provides certain information regarding the entity's "substantial United States owners," which the Fund will in turn provide to the U.S. Department of the Treasury.

If FATCA withholding is imposed, non-U.S. beneficial owners who are otherwise eligible for an exemption from, or a reduction of, U.S. withholding tax with respect to such distributions and sale proceeds would be

required to seek a refund from the Internal Revenue Service to obtain the benefit of such exemption or reduction. The Fund will not pay any additional amounts in respect of any amounts withheld (under FATCA or otherwise).

PROSPECTIVE INVESTORS ARE URGED TO SEEK ADVICE BASED ON SUCH PERSON'S PARTICULAR CIRCUMSTANCES FROM AN INDEPENDENT TAX ADVISOR. THE STATEMENTS IN THE ABOVE SUMMARY ARE NOT TO BE CONSTRUED AS TAX ADVICE.

ADDITIONAL INVESTOR INFORMATION

Prospective investors should not construe the contents of this Memorandum as legal or other advice. Each prospective investor must rely upon its own representatives, including its own counsel and accountants, as to legal and other matters concerning an investment in the Fund.

Except as expressly provided herein, no person is authorized to give any information or to make any representations other than those contained in this Memorandum, the Operating Agreement and the Subscription Agreement (the "Offering Documents") and, if given or made, such information or representations must not be relied upon as having been authorized by the Fund or the Manager. Neither the delivery of the Offering Documents, nor any sale made hereunder, shall under any circumstances create an implication that there has been no change in the matters discussed herein since the date hereof. In the event of any material change prior to the closing of any sale made hereunder, the Offering Documents will be amended or supplemented accordingly.

Each offeree and such offeree's advisers will be offered an opportunity, prior to the consummation of a sale of an Interest to such offeree, to ask questions of, and receive answers from, the Manager concerning the terms and conditions of this offering and to obtain any additional information, to the extent the Manager possesses such information or can acquire it without unreasonable effort or expense, necessary to verify the accuracy of the information set forth herein. Should you have any questions about the Fund, please contact the team at invest@cardonecapital.com.